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Wire & Cable | Japan

Stay OW on Furukawa Electric on Ongoing High Profit Growth

Better earnings outlooks after 1Q results, but still uncertainties with macro climate & slowing share price momentum. We raise our forecasts but cut PTs to reflect higher interest rates. Stay OW on Furukawa with a dual edge in the rate and visibility of profit growth.

Fundamentals currently solid, but central bank rate hike concerns and peak-out of hyperscaler investment are valuation headwinds: Uncertainties remain with the macro climate and slowing share price momentum, as AI/semis stocks correct amid ongoing Middle East tensions. But AI datacenter demand remains buoyant, and we foresee hyperscaler investment [growth remaining in 2 digits in 2026-27](#) (2026: +99% YoY, 2027: +60%). However, we expect growth to slow to +12% in 2028 due to constraints chip/rack production, labor, materials and power availability. Nonetheless, we think it too soon for pessimism on the industry with optical connectors/wiring components set to benefit from overall market-topping growth driven by a scale-out/scale-up for AI server infrastructure. On monetary policy, our economists [do not expect a rate hike in 2026](#) but do forecast [a 50bps rise in 2027](#); ongoing rate rises would be a headwind for wire & cable valuations.

Key focus for stock picks is profit growth from F3/28 and likelihood thereof:
Ranking remains Furukawa OW > Sumitomo Electric EW > Fujikura EW: All three stand to benefit from genAI-driven growth in DC demand, but we focus on 1) profit growth rates, 2) profit likelihood, and 3) gap vs. consensus.

We believe **Furukawa** is entering a period of record-high earnings on strong profit growth, driven by optical product price hikes, better product mix/higher sales, and rising liquid cooling module sales. We forecast F3/27-29 OP CAGR of 33.7%, the highest of the three. **Sumitomo Electric** offers an appealing risk-reward, with its P/E now in-line with TOPIX. Though it benefits less from price hikes than Furukawa or Fujikura, we expect capacity increases in optical wiring materials and devices to drive profit growth, forecasting F3/27-29 OP CAGR of +18.4%. For **Fujikura**, output bottlenecks in optical fiber/cable point to slowing volume growth in multi-core optical cables, though optical components for large data center projects in Asia – the main factor in the F3/27 guidance hike – could support profit growth until effects of spending to boost capacity materialize, if momentum is maintained, given low exposure to capacity constraints here. However, we've seen little evidence since 1Q results supporting this scenario, and view the top of the F3/28-29 consensus range as somewhat high. We forecast F3/27-29 OP CAGR of +13.0%.

1Q results raise the probability of widening demand for DC-related products, price increases, and improved product mixes, and we raise forecasts for all 3 firms. But while fundamentals are healthy, we lower PTs amid currently rising interest rates.

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WIRE & CABLE		
Japan		
Industry View		Attractive
WHAT'S CHANGED		
Furukawa Electric (5801.T)	From	To
Price Target	¥6,600	¥6,100
Sumitomo Electric (5802.T)	From	To
Price Target	¥3,625	¥2,700
Fujikura (5803.T)	From	To
Price Target	¥6,800	¥6,600

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Order of Preference

Exhibit 1: Order of Preference

	Furukawa Electric 5801.T	Sumitomo Electric 5802.T	Fujikura 5803.T
Rating	Overweight	Equal-weight	Equal-weight
Trading Currency	JPY	JPY	JPY
Price Target	6,100	2,700	6,600
Current Price	4,024	2,112	5,209
Upside/(Downside) (%)	52%	28%	27%
Market Cap (in USD mm)	15,874.7	46,829.9	51,418.0
Avg Daily Traded Vol (in USD mm)	1,330.5	470.8	2,637.9
Street View: Ratings			
Buy/Overweight	 75%	 77%	 93%
Hold/Equal-weight	 25%	 23%	 7%
Sell/Underweight	 0%	 0%	 0%
Bull Case Value	8,200	3,400	9,000
Upside (%)	104%	61%	73%
Bear Case Value	3,000	1,700	3,700
Downside (%)	-25%	-20%	-29%
Risk/Reward Skew	4.1	3.1	2.5
Morgan Stanley Estimates			
FY26e	JPY	JPY	JPY
Sales	1,558,100	5,368,431	1,783,189
EBITDA	181,000	720,000	472,270
EBIT	131,000	485,000	449,970
EPS	151.4	113.7	202.7
FY27e			
Sales	1,786,195	5,630,100	1,905,789
EBITDA	233,500	840,000	524,300
EBIT	177,000	595,000	500,000
EPS	210.6	140.8	223.4
FY26 MSe vs. Consensus Mean			
Sales	3.2%	-1.1%	12.2%
EBITDA	9.2%	2.8%	20.6%
EBIT	63.0%	1.0%	52.5%
EPS	1.3%	1.3%	20.8%
FY27 MSe vs. Consensus Mean			
Sales	4.5%	-2.1%	6.4%
EBITDA	7.4%	3.6%	11.5%
EBIT	22.1%	-0.8%	NA
EPS	9.7%	4.9%	8.6%
Valuation Multiples at Last Close			
FY26e			
P/E	26.6x	18.6x	25.7x
EV/EBIT	24.1x	14.4x	19.2x
EV/EBITDA	17.5x	9.7x	18.3x
EV/Sales	2.0x	1.3x	4.8x
FCF Yield	-2.9%	2.6%	0.6%
FY27e			
P/E	19.1x	15.0x	23.3x
EV/EBIT	18.1x	11.5x	17.2x
EV/EBITDA	13.7x	8.2x	16.4x
EV/Sales	1.8x	1.2x	4.5x
FCF Yield	-2.2%	3.9%	2.6%
Implied Multiples on MS Price Target			
FY26e			
P/E	40.3x	23.7x	32.6x
EV/EBIT	35.2x	18.1x	24.3x
EV/EBITDA	25.5x	12.2x	23.2x
EV/Sales	3.0x	1.6x	6.1x
FY27e			
P/E	29.0x	19.2x	29.5x
EV/EBIT	24.3x	14.2x	22.0x
EV/EBITDA	18.4x	10.1x	21.0x
EV/Sales	2.4x	1.5x	5.8x
Stock Price Performance			
1 Month	1.8%	-2.3%	-6.6%
3 Month	-1.9%	-20.5%	24.2%
1 Year	335.1%	96.8%	129.3%
YTD	302.0%	33.5%	79.2%

Source: Morgan Stanley Research, FactSet (consensus mean), e = Morgan Stanley Research estimates, Stock prices as of Sep 10, 2026, Note: Past performance is no guarantee of future results. Results shown do not include transaction costs.

Investment summary

Earnings forecast revisions

Furukawa Electric (5801)

F3/27: We raise OP forecast from ¥100bn to ¥131bn (+105.1% YoY; guidance ¥123bn).

After 1Q results, we have confirmed stronger-than-expected sales growth, particularly in SOA/DFB products & specialty fibers, as well as price increases and product mix improvements in optical cable. Compared with our prior forecasts, we raise our expectations for Optical Solutions based on price hikes and improved product mix and lifted our forecast for Digital Infrastructure Components to reflect expanded sales of SOA/DFB products, copper foil, AT & functional plastics, and aluminum blanks. We now forecast OP of ¥48bn (+¥37.3bn YoY) from Optical Solutions and ¥52bn (+¥36.1bn YoY) from Digital Infrastructure Components. We think increased production of water-cooling modules could emerge as a share price catalyst from 2H.

F3/28: Raise OP from ¥158bn to ¥177bn (+35.1% YoY). Compared with our prior forecast, we anticipate higher earnings from both Optical Solutions and Digital Infrastructure Components, as in F3/27. We forecast OP from the latter category will increase +¥28bn YoY to ¥80bn. YoY profit growth factors include full-scale ramping up of water-cooling modules in the thermal management solutions business, but also contributions from higher DFB/SOA sales in the FTEL products business.

F3/29: Raise OP from ¥202bn to ¥234bn (+32.2% YoY). YoY growth factors include higher sales of core products in Optical Solutions and Digital Infrastructure Components, price hikes, and better product mix. We forecast sales of water-cooling modules at ¥50bn in F3/27, ¥190bn F3/28, and ¥300bn F3/29. Our projected OP CAGR for F3/27-29 is 33.7%.

Sumitomo Electric (5802)

F3/27: We raise OP forecast from ¥445bn to ¥485bn (+16.0% YoY; guidance ¥450bn).

Compared with our prior forecast, we raise our expectations in all segments, but particularly in Industrial Materials. In this segment, rising prices of tungsten, which is the principal raw material for cemented carbide tools, have prompted customers to bring orders forward, and the company's stable tungsten procurement is likely to support market share gains, which we have factored into our forecast. That said, we think 1Q earnings benefited from temporary margin improvement due to front-loading of orders and low-cost raw material inventories, so we expect profit levels in this business will peak out from 2Q. In the ns segment, 1Q sales of optical devices did not rise QoQ due to delayed capacity expansion work and some production issues; however, from 2Q, although refunds from the US government will no longer contribute to OP, we expect the steady realization of volume-driven profit gains and weak-yen benefits (guidance assumes ¥150/\$) to support significant outperformance vs the company plan. In light of this, we raise our estimate of OP from ns from ¥150bn to ¥162bn.

F3/28: Raise OP from ¥555bn to ¥595bn (+22.7% YoY). Compared with our prior forecasts, we increase our assumptions for the ns and Automotive segments. For ns, we now factor in further sales expansion in optical

connectors, optical cable, and optical devices. As in F3/27, we expect the main profit drivers will further sales growth and product mix improvement in *ns* and price increases for certain products. In addition, we assume a substantial increase in external selling prices for InP substrates from F3/28. In the Environment & Energy segment, where we forecast F3/28 OP of ¥64bn (+¥11.5bn YoY), we are now taking into account the start of earnings contributions from overseas power generation business.

F3/29: Raise OP from ¥635bn to ¥680bn (+14.3% YoY; medium-term plan target ¥690bn). We see the main driver of YoY profit growth as expansion in optical connectors, optical cables, and optical devices. In particular, the company's CW-LD (continuous-wave laser diodes) have a high market share and benefit from vertically integrated production on an indium phosphide platform. Relative to the company's medium-term plan, we expect upside in *ns*, while we expect downside in Automotive as we do not believe the likelihood of further margin improvement has increased sufficiently.

Fujikura (5803):

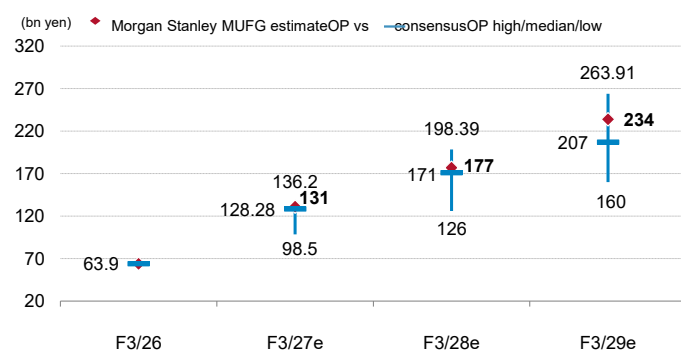
F3/27: We raise OP forecast from ¥345bn to ¥450bn (+50.8% YoY; guidance ¥432bn).

Compared with our prior forecasts, we revise up our estimate for the *n* Systems segment to factor in orders related to large-scale data center projects in Asia in both 1H-2H, as well as higher margins supported by price hikes & product mix improvement. According to Fujikura, it has received orders from two companies related to large data center projects in Asia in F3/27, and that in recognition of the added value of its ability to meet delivery schedules, it has secured orders with very high margins.

F3/28: Raise OP from ¥385bn to ¥500bn (+11.1% YoY). We assume some contributions from the large data center projects in Asia will continue into F3/28 1H. Due to optical fiber production constraints, we expect SWR/WTC sales volume growth to slow to +16% YoY.

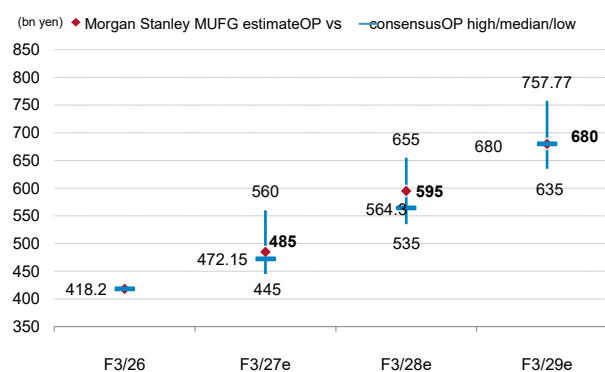
F3/29: Raise OP from ¥475bn to ¥575bn (+15% YoY; medium-term plan target ¥315bn). From 2H, we expect part of the capacity expansion effects to materialize. We forecast SWR/WTC sales volumes at +16% YoY. The company has already announced capacity expansion for preforms and optical fiber/cables (¥45bn + ¥40bn domestically + up to ¥260bn in capex in the US). It aims to increase optical fiber/cable capacity to roughly 4 times current levels by F3/31. The ¥260bn investment is to be executed in the US, although details have yet to be disclosed. We will watch for faster investment execution and an earlier start of operations.

Exhibit 2: Furukawa Electric (5801): OP MSe vs Consensus

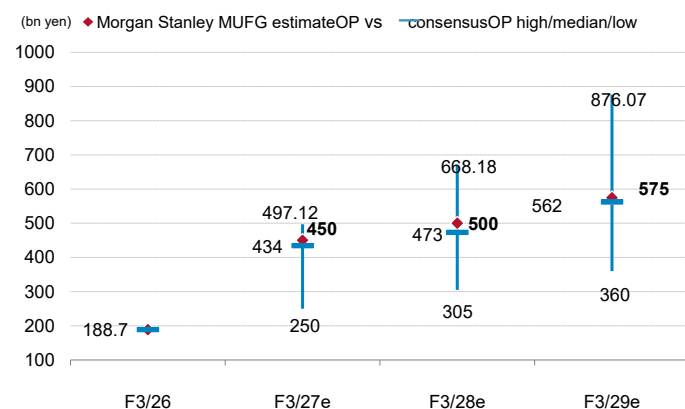


Source: e=Morgan Stanley Research estimates, FactSet, Consensus=FactSet consensus

Exhibit 3: Sumitomo Electric (5802): OP MSe vs Consensus



Source: e=Morgan Stanley Research estimates, FactSet, Consensus=FactSet consensus

Exhibit 4: Fujikura (5803): OP MSe vs Consensus

Source: e=Morgan Stanley Research estimates, FactSet, Consensus=FactSet consensus

Our outlook for the data center industry

Hyperscaler capex to jump in 2026-27, but slow in 2028: In its [September report](#), our US research team forecasts that capex by major hyperscalers will increase from around **\$466bn in 2025 to \$917bn in 2026 (+99%), \$1.47tn in 2027 (+60%), and \$1.64tn in 2028 (+12%)**. At the same time, it expects **new capacity coming online to increase from 12.4GW in 2025 to 26.1GW in 2026, 38.1GW in 2027, and 43.7GW in 2028**. While total spending and capacity should continue to rise, the growth rate is expected to moderate. Google in particular is projected to add the largest amount of capacity in 2027 and 2028 (approximately 9GW and 11GW, respectively), reflecting demand from Gemini training, GCP expansion, and GenAI implementation across Search and YouTube.

The main reasons for the slowdown: (1) limits on chip & rack manufacturing and procurement volumes; (2) physical constraints such as labor, materials, and power availability; and (3) that 30-40% of 2026 investment is expected to be upfront spending on land, buildings, and power infrastructure for projects slated to come online in 2027-29, with limited scope for further accelerating construction. In addition, if Meta increasingly utilizes AWS and Azure, its long-term computing demand could come in below expectations, potentially weighing on 2028 capex. On the other hand, risks to the upside remain if component inflation stays elevated or if construction is brought forward more aggressively than expected, leading to increased pre-build activity in 2027-28.

Meanwhile, advances in generative AI are driving rapid growth in inference demand, increasing the importance of distributed AI infrastructure (including regional data centers & edge locations) from the perspectives of low latency and data localization requirements. As a result, demand for high-speed communications infrastructure, including optical connectors, continues to expand. Most recently, this has become evident via the acquisition of large orders from Asian data centers and growing exports to Asia.

Expect CPO (Co-Packaged Optics) to significantly increase unit usage of optical components: From 2026 onward, we think NVIDIA (covered by Joseph Moore) will move to full-scale adoption of CPO, which integrates optical engines based on silicon photonics in the same package as network switch ASICs, for Rubin-generation AI infrastructure.

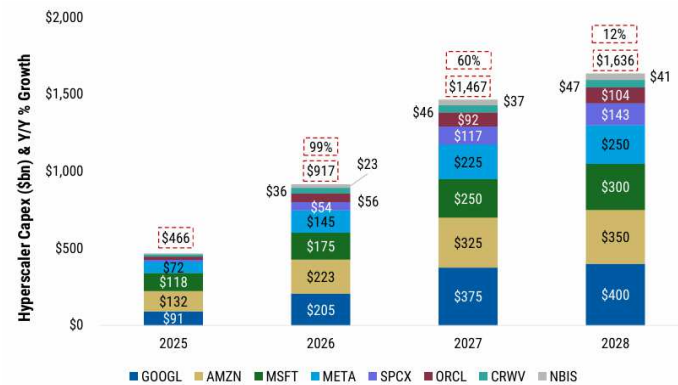
Timing is likely to be 2025 2H for the InfiniBand-based Quantum-X Photonics platform and 2026 2H for the Ethernet-based Spectrum-X Photonics platform. Switch ASIC bandwidth continues to double with each generation, moving to 200G per lane and 51.2T→102.4T, equivalent to 128 800G ports; for large-scale configurations, switches in the 409.6Tb/s class, equivalent to 512 800G ports using multiple bundled CPO/silicon photonics engines, are also planned. With CPO, pluggable modules that aggregate optical lanes are eliminated, and the optical fibers that make up each port appear directly as external cabling. This means the number of optical fiber cores & cabling points per switch rises sharply versus conventional architectures. For example, Quantum-X Photonics uses 1,152 fibers and 144 MPO ports. The number of high-power CW-LDs used as external light sources should also increase. Based on Sumitomo Electric estimates, CW-LDs as a proportion of chip volume should rise from 24% in 2024 to 69% in 2028.

Beneficiaries: In addition to optical fiber and optical connector suppliers such as Fujikura, Sumitomo Electric, which has a lead in high-power CW-LDs for CPO, may also be a key beneficiary. That said, NVIDIA’s ELS laser supply structure consists of three companies: Lumentum, Sumitomo Electric, and Coherent. Given that NVIDIA’s recent large-scale investments of \$2bn each went to Coherent and Lumentum, we think it is too early to position Sumitomo Electric as the largest beneficiary.

FX impact: Yen depreciation is positive for wire & cable companies. We estimate OP sensitivity to a ¥1 change in value against the US dollar as being almost ¥1.0bn for Furukawa Electric, ¥2.0bn for Sumitomo Electric, and ¥2.7bn for Fujikura.

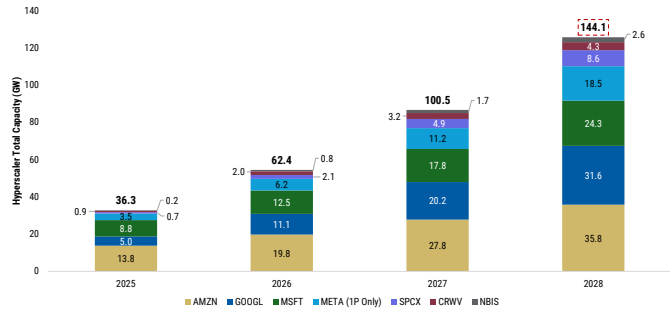
Risk related to the Middle East: At their 1Q earnings briefings, Furukawa Electric and Fujikura commented that they had not seen any material impact. Sumitomo Electric indicated that procurement of certain polyethylene materials had been disrupted, but we believe the impact is minimal. Helium gas is used in the preform manufacturing process for cooling, atmosphere control, and purging. However, we see limited risk as helium has a very high recovery rate (we estimate around 90%), and could possibly be replaced with nitrogen or argon, depending on the process. Helium production is largely concentrated in two countries, with about 45% (about 80mn m2) produced in the US and about 35% in Qatar.

Exhibit 5: Hyperscaler Capex



Source: Company data, Morgan Stanley Research estimates; Note: AMZN = Total Company Capex excluding proceeds from property and equipment sales and incentives. Note ORCL capex is projected using consensus estimates.

Exhibit 6: Hyperscaler compute capacity



Source: Company data, Morgan Stanley Research estimates

Exhibit 7:
Port Count and Bandwidth Comparison Table (Conventional vs CPO)

Switch Type	Implementation	Port Count (800Gb/s)	Total Bandwidth (Tb/s)	Notes
Conventional Switch	Pluggable Optics	64	51.2	Equivalent to 128 ports at 400Gb/s
Quantum-X	Pluggable Optics+Co-Packaged Optics	144	115.2	36 ports per package × 4 packages
Spectrum-X (Small)	Pluggable Optics<Co-Packaged Optics	128	102.4	Equivalent to 256 ports at 400Gb/s
Spectrum-X (Large)	Co-Packaged Optics	512	409.6	Equivalent to 1024 ports at 400Gb/s
Sepio Switch (Representative CPO Architecture)	Co-Packaged Optics (Full CPO)	144–512 ports class	115–410 Tb/s class	No pluggable modules. Optical engines are co-packaged with the ASIC, and multi-fiber bundles are routed directly per port, resulting in a significant increase in fiber count and cabling complexity (often described as ~8× vs. conventional designs).

Source: Company data, Morgan Stanley Research

Changing Price Targets, Staying OW on Furukawa

We maintain our Attractive industry view

We maintain our Attractive Wire & Cable industry view. The main sources of demand for the wire & cable industry are 1) fiber optic cables and optical devices, 2) electronics, 3) automobiles (wire harnesses), and 4) power cables.

Regarding 1) fiber optic cables and optical devices, booming hyperscaler investment in DC and AI server applications is a tailwind, and demand for optical devices such as multi-core optical connectors and transceivers and multi-core optical cables is increasing; we expect a favorable business environment to continue. Our US IT team expects total capex by hyperscalers in 2026 to increase by 99% YoY. We believe optical connectors, optical cabling, and related products will continue to grow faster than the overall market, driven by both scale-out and scale-up investment in AI servers.

For 2) electronics, the main demand is for smartphone use, but Erik Woodring, our analyst covering Apple, is forecasting iPhone sales volume growth of +1% in 2026–27. Rising memory prices and memory shortages are risks.

For 3) automobile use (wire harnesses), price negotiations and productivity improvements at the companies have been successful in recent years, improving profitability. In F3/27, risks include production adjustments due to higher crude oil prices associated with the situation in the Middle East and shortages of raw materials such as naphtha, as well as weaker consumer demand stemming from higher interest rates and persistently elevated crude oil prices.

On 4) power cables, we expect solid demand in Japan for construction and industrial wire as well as renewable-energy applications. From F3/28, overseas projects are set to start up, while from F3/31 onward we expect increased demand for domestic wide-area interconnection lines.

Our order of preference within the industry: Furukawa Electric (OW) > Sumitomo Electric (EW) > Fujikura (EW)

Exhibit 8: Our Wire & Cable ROE and OP growth rate forecasts

	ROE(%)				OP
	F25	F26e	F27e	F28e	CAGR from F26e to F28e
Furukawa	17.4	20.9	23.1	24.0	33.7%
SEI	14.7	12.4	14.2	14.8	18.4%
Fujikura	32.5	50.7	42.7	42.7	13.0%
Corning	19.6	22.8	25.8	28.7	32.4%

Source: Morgan Stanley Research. e=Morgan Stanley Research estimates

Our take on the recent share price correction

Share price performance:

Furukawa Electric: -39.7% (June 1-July 31), +7% (Aug 3-Sep 9).

Sumitomo Electric: -33.7% (June 1-July 31), +7% (Aug 3-Sep 9).

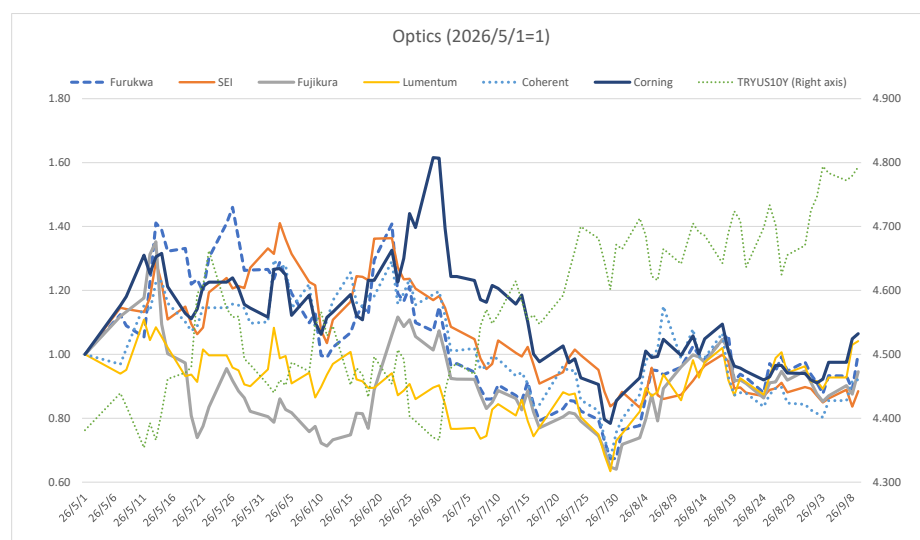
Fujikura: -10.8% (June 1-July 31), -34% (Aug 3-Sep 9).

On June 18, Fujikura raised full-year guidance. The three wire & cable names continued rising through June 22, but subsequently peaked and pulled back sharply through the July 30 trough. We attribute the late-June to July share price correction to several factors: 1) rotation and profit-taking in reaction to an earlier, momentum-driven rally; 2) heightened caution toward optical-related names amid concerns about delays in the timing of Co-Packaged Optics (CPO) adoption; 3) a lack of meaningful catalysts ahead of 1Q results at the end of July; and 4) a broader correction in AI-related stocks.

Meanwhile, wire & cable stocks bottomed on July 30 and recovered into mid-August following earnings announcements. Thereafter, they moved sideways before softening somewhat, and despite solid results, share prices have yet to recover sufficiently. We think share prices did begin rebounding after the excessive July correction, but valuations failed to expand meaningfully, weighed down by concerns about further rate hikes by central banks, yen appreciation, worries about whether hyperscalers can sustain high levels of capex, and slowing momentum across AI-related stocks overall.

Elsewhere, 1Q results confirmed profit growth and an improved product mix at Fujikura and Furukawa Electric, driven by price hikes for optical products. Fundamentals in DC-related businesses thus remain solid. We expect positive business momentum to continue.

Exhibit 9: Performance of optical component stocks (May 1, 2026=1)



Source: FactSet, Morgan Stanley Research

Catalysts/risks

We now see earnings announcements and monthly export stats as stock price catalysts. CPO developments and earnings/news from overseas related names, including hyperscalers, also bear watching. Potential risk: A slowdown in growth (into single digits). Factors that could bring this about include shortages of materials (fiber etc.), power and infrastructure constraints, a slowdown in capex due to easing macroeconomic growth (capex by hyperscalers is generally proportional to sales), and GPU and semiconductor supply constraints. The shortage of fiber, in particular, bears watching.

Price target revisions

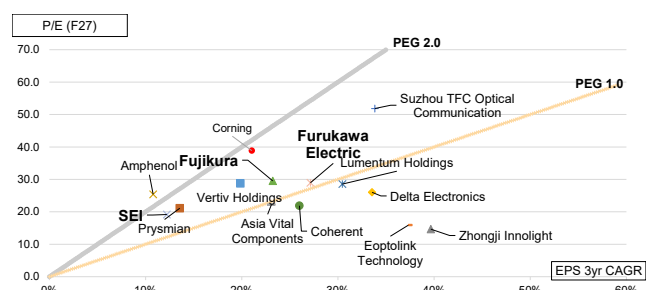
In the wire & cable industry, growth investments to transform the business structure (such as full-scale CPO operations and scale-up/scale-out investments) are underway. We expect the results of these efforts to become fully visible in earnings from F3/29. Additionally, we think the stock market is now trending toward factoring in medium/long-term profit potential and value creation two to three years ahead, rather than focusing on near-term results. In light of this, we use a residual income model, which we believe most appropriately captures longer-term corporate value.

Furukawa (5801) PT ¥6,100 (previously ¥6,600): We use a residual income model, which we consider the most appropriate approach for capturing long-term corporate value, to derive our price target. Our assumptions for Furukawa are a cost of equity of 10.0% (risk-free rate 2.9%, equity risk premium 6.2%, beta 1.15), a dividend payout ratio of 45%, a medium-term growth rate of 16%, and a terminal growth rate of 3.5%. **Our price target equates to 29.0x P/E and 6.7x P/B on our F3/28 forecasts and 22.0x P/E and 5.3x P/B on our F3/29 forecasts.** Changes from our previous report include 1) a revised risk-free rate assumption (from 2.0% to 2.9%), 2) upward revisions to our F3/27-29 earnings forecasts, and 3) a 1.0ppt reduction in our medium-term growth assumption.

Sumitomo Electric (5802) PT ¥2,700 (previously ¥3,625): We use a residual income model, which we think most fairly captures long-term corporate value. Our assumptions for SEI are cost of equity of 9.6% (risk-free rate 2.9%, equity risk premium 6.2%, beta 1.07), dividend payout ratio of 45%, medium-term growth rate of 11.5%, and terminal growth rate of 3.0%. **Our PT equates to 19.2x P/E and 2.6x P/B on our F3/28 forecasts and 16.8x P/E and 2.4x P/B on our F3/29 forecasts.** Changes from our previous report include 1) a revised risk-free rate assumption (from 2.0% to 2.9%), 2) upward revisions to our F3/27-29 earnings forecasts, and 3) a 1.0ppt reduction in our medium-term growth assumption.

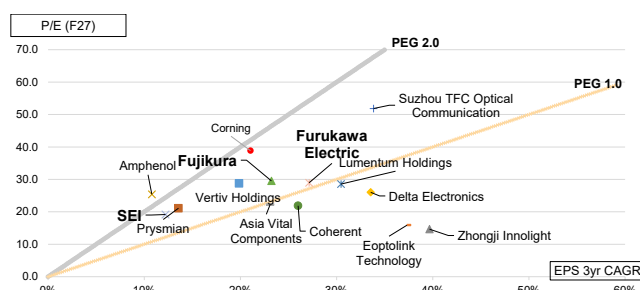
Fujikura (5803) PT ¥6,600 (previously ¥6,800): We use an RIM here too, for the reason given above. Our assumptions for Fujikura are a cost of equity of 10.9% (risk-free rate 2.9%, equity risk premium 6.2%, beta 1.29), a dividend payout ratio of 55%, a medium-term growth rate of 17.5%, and terminal growth of 3.7%. **Our PT equates to 29.5x P/E and 11.3x P/B on our F3/28 forecasts and 25.6x P/E and 9.1x P/B on our F3/29 forecasts.** Changes from our previous report include 1) a revised risk-free rate assumption (from 2.0% to 2.9%), 2) upward revisions to our F3/27-29 earnings forecasts, and 3) a 1.0ppt reduction in our medium-term growth assumption.

Exhibit 10: PEG Map



Source: FactSet, Morgan Stanley Research. Note: Share prices as of Jun 11, 2026. Furukawa, SEI and Fujikura are Morgan Stanley Research estimates and others are FactSet consensus.

Exhibit 11: ROE vs P/B



Source: FactSet, Morgan Stanley Research. Note: Share prices as of Jun 11, 2026. Furukawa, SEI and Fujikura are Morgan Stanley Research estimates and others are FactSet consensus.

Exhibit 12: Furukawa Electric: Residual income model

bn JPY, bn shares	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e	F3/32e	F3/33e	F3/34e	F3/35e	F3/36e	F3/37e	F3/38e
Total Equity (Ending)	447	577	748	877	1,030	1,215	1,429	1,677	1,965	2,300	2,687	3,137
Net Profit	106	147	194	233	280	336	389	452	524	608	705	818
Beginning Equity	447	577	748	877	1,030	1,215	1,429	1,677	1,965	2,300	2,687	3,137
Average Equity	447	577	748	812	953	1,123	1,322	1,553	1,821	2,133	2,494	2,912
ROAE	23.7%	25.6%	25.9%	28.7%	29.3%	29.9%	29.4%	29.1%	28.8%	28.5%	28.3%	28.1%
Spread (ROAE - CoE)	13.7%	25.6%	25.9%	18.7%	19.3%	19.9%	19.4%	19.0%	18.7%	18.5%	18.2%	18.0%
Residual Income	61	147	194	140	169	205	236	272	314	363	419	485
Period (t)	1	1	1	4	5	6	7	8	9	10	11	12
Discount Factor (mid-year)	0.953	1.000	1.000	0.716	0.650	0.591	0.537	0.488	0.444	0.403	0.367	0.333
Discount Factor (end-year)	0.909	1.000	1.000	0.682	0.620	0.564	0.512	0.465	0.423	0.384	0.349	0.318
PV of Residual Income	58	147	194	100	110	121	127	133	139	146	154	162
Ending Equity Capital	447											
PV of Forecast Period	1,591											
PV of Continuing Value	2,441											
Equity Value	4,479											
No. of Shares	0.7350											
Our Target Price	6,100											

Source: Morgan Stanley Research. e=Morgan Stanley Research estimates

Exhibit 13: Sumitomo Electric: Residual income model

bn JPY, bn shares	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e	F3/32e	F3/33e	F3/34e	F3/35e	F3/36e	F3/37e	F3/38e
Total Equity (Ending)	2,339	2,603	2,904	3,224	3,591	4,000	4,457	4,966	5,533	6,166	6,872	7,659
Net Profit	355	439	501	581	668	744	830	926	1,032	1,151	1,283	1,430
Beginning Equity	2,339	2,339	2,603	2,904	3,224	3,591	4,000	4,457	4,966	5,533	6,166	6,872
Average Equity	2,339	2,471	2,754	3,064	3,407	3,796	4,229	4,711	5,250	5,850	6,519	7,265
ROAE	15.2%	17.8%	18.2%	18.9%	19.6%	19.6%	19.6%	19.6%	19.7%	19.7%	19.7%	19.7%
Spread (ROAE - CoE)	5.6%	8.2%	8.6%	9.4%	10.0%	10.1%	10.1%	10.1%	10.1%	10.1%	10.1%	10.1%
Residual Income	131	192	224	273	324	361	403	449	501	559	624	696
Period (t)	1	2	3	4	5	6	7	8	9	10	11	12
Discount Factor (mid-year)	0.955	0.872	0.796	0.726	0.663	0.605	0.552	0.504	0.460	0.420	0.383	0.350
Discount Factor (end-year)	0.913	0.833	0.760	0.694	0.634	0.578	0.528	0.482	0.440	0.401	0.366	0.334
PV of Residual Income	125	168	179	198	215	219	223	227	231	235	239	244
Ending Equity Capital	2,339											
PV of Forecast Period	2,501											
PV of Continuing Value	3,656											
Equity Value	8,495											
No. of Shares	3.1197											
Our Target Price	2,700											

Source: Morgan Stanley Research. e=Morgan Stanley Research estimates

Exhibit 14: Fujikura: Residual income model

bn JPY, bn shares	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e	F3/32e	F3/33e	F3/34e	F3/35e	F3/36e	F3/37e	F3/38e
Total Equity (Ending)	656	861	1,089	1,339	1,651	2,041	2,500	3,039	3,672	4,416	5,290	6,317
Net Profit	336	370	427	555	694	867	1,019	1,197	1,407	1,653	1,943	2,283
Beginning Equity	656	656	861	1,089	1,339	1,651	2,041	2,500	3,039	3,672	4,416	5,290
Average Equity	656	758	975	1,214	1,495	1,846	2,270	2,769	3,355	4,044	4,853	5,804
ROAE	51.2%	48.8%	43.8%	45.7%	46.4%	47.0%	44.9%	43.2%	41.9%	40.9%	40.0%	39.3%
Spread (ROAE - CoE)	40.3%	37.9%	32.9%	34.8%	35.5%	36.1%	34.0%	32.3%	31.0%	30.0%	29.1%	28.4%
Residual Income	265	249	283	379	476	596	694	809	943	1,101	1,286	1,504
Period (t)	1	2	3	4	5	6	7	8	9	10	11	12
Discount Factor (mid-year)	0.950	0.856	0.772	0.696	0.628	0.566	0.511	0.460	0.415	0.374	0.338	0.304
Discount Factor (end-year)	0.902	0.813	0.733	0.661	0.596	0.538	0.485	0.437	0.394	0.355	0.321	0.289
PV of Residual Income	251	213	219	264	299	337	354	372	391	412	434	458
Ending Equity Capital	656											
PV of Forecast Period	4,005											
PV of Continuing Value	6,290											
Equity Value	10,951											
No. of Shares	1.6562											
Our Target Price	6,600											

Source: Morgan Stanley Research. e=Morgan Stanley Research estimates

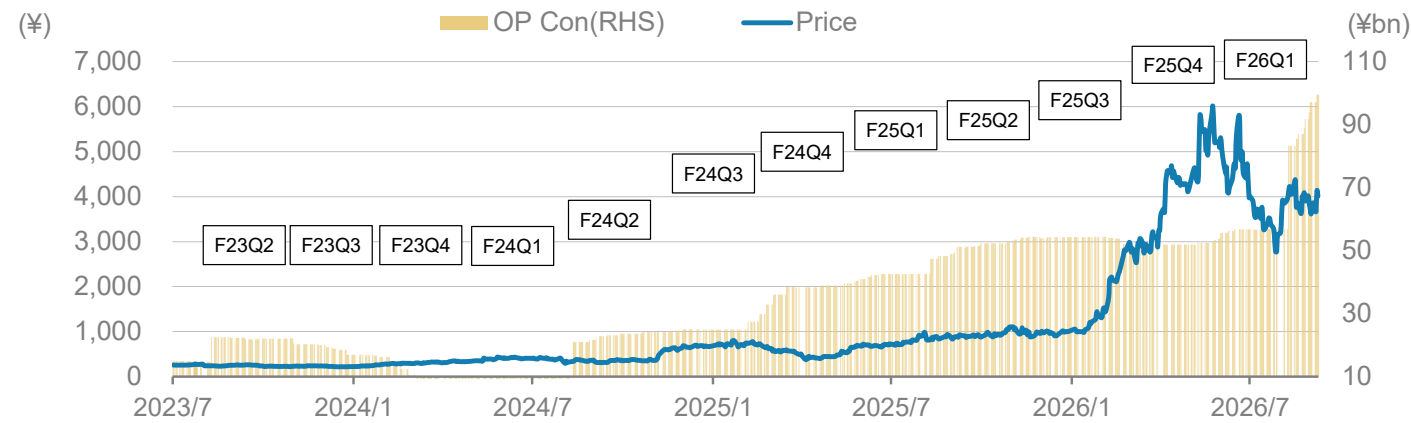
Exhibit 15: Valuation & EBIT CAGR

Ticker	Company	Share Price	Mkt Cap	P/E(x)			P/B(x)			ROE(%)			EBIT CAGR (%)		EV/EBITDA(x)			Div yield (%)
		2026/9/10	(JPYbn)	F2026	F2027	F2028	F2026	F2027	F2028	F2026	F2027	F2028	FY23-25	FY25-28	F2026	F2027	F2028	F2026
GLW-US	Corning	US\$168.46	22,235.9	51.5	38.9	29.0	10.4	9.3	8.0	20.2	24.0	27.6	44.4	42.0	27.5	22.2	16.8	0.7
PRY-IT	Prismian	ITL 127.55	6,871.1	26.3	21.1	17.9	4.9	4.2	3.5	18.7	19.7	19.5	46.8	17.0	14.5	11.9	10.5	0.8
300308-CN	Zhongji Innolight	CNY 890.1	23,941.6	29.8	14.7	10.9	15.9	8.0	4.9	53.3	54.8	44.5	144.4	105.7	23.9	11.4	8.7	0.5
APH-US	Amphenol	US\$81.34	30,736.1	30.7	25.4	22.6	11.0	8.1	6.2	35.8	31.7	27.3	51.7	31.8	19.0	16.2	14.7	0.6
LITE-US	Lumentum Holdings	US\$988.98	13,593.7	45.6	28.6	20.6	13.2	9.0	5.6	28.9	31.4	27.2	-	-	26.7	16.0	11.5	-
COHR-US	Coherent	US\$303.48	9,106.9	32.5	21.9	16.2	5.2	4.3	3.8	16.2	19.6	23.4	171.5	66.3	21.6	14.5	10.9	0.0
300394-CN	Suzhou TFC Optical Communication	CNY 269.0	6,703.1	82.3	51.9	34.3	34.9	23.2	15.9	42.4	44.8	46.5	67.0	60.2	66.5	40.6	28.3	0.4
300502-CN	Eoptolink Technology	CNY 410.9	13,087.2	27.7	15.9	10.7	15.3	8.0	4.6	55.4	50.6	43.5	270.7	80.7	29.3	18.0	11.7	0.4
	Optic & Electronic materials			40.8	27.3	20.3	13.8	9.3	6.6	33.9	34.6	32.4	113.8	57.7	28.6	18.9	14.1	0.4
3017-TW	Asia Vital Components	TWD 3,460.00	6,607.9	33.6	22.2	18.0	17.9	10.9	7.5	53.2	49.0	41.6	87.6	54.4	21.2	14.2	12.0	1.0
2308-TW	Delta Electronics	TWD 1,675.00	21,161.0	41.3	26.0	17.3	12.5	9.2	6.7	30.2	35.4	38.8	34.5	57.3	24.6	16.6	11.2	1.0
VRT-US	Vertiv Holdings	US\$262.89	15,508.8	39.2	28.7	22.8	16.4	11.5	7.8	41.9	39.9	34.1	55.8	46.7	29.7	21.6	17.1	0.1
	Cooling			38.0	25.7	19.4	15.6	10.5	7.3	41.8	41.4	38.2	59.3	52.8	25.2	17.5	13.4	0.7
5801	Furukawa Electric	¥4,024.0	2,843.6	24.7	19.5	15.3	5.5	4.3	3.5	22.1	22.3	22.8	97.2	22.6	17.9	13.1	11.1	0.6
5802	SEI	¥2,111.5	6,705.6	18.6	15.8	13.0	2.2	2.1	1.9	12.1	13.1	14.5	40.5	9.3	10.1	8.8	7.3	2.0
5803	Fujikura	¥5,209.0	9,246.9	25.9	23.6	19.4	11.2	8.5	6.8	43.3	36.1	35.2	74.3	39.6	17.8	16.3	13.8	1.4
	Domestic Wire&Cable			23.1	19.6	15.9	6.3	5.0	4.1	25.8	23.8	24.2	70.7	24.1	15.3	12.7	10.7	1.4

Source: FactSet, Morgan Stanley Research, Estimates are FactSet data.

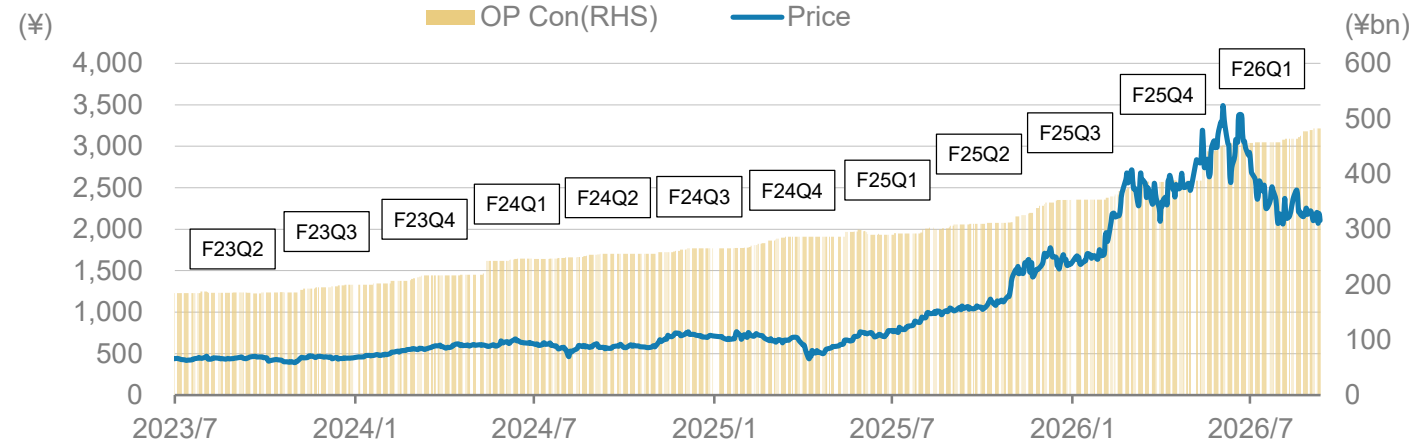
Stock Price Trends in Cable Industry

Exhibit 16: Furukawa Electric: Stock Price & OP Consensus Estimate Trend



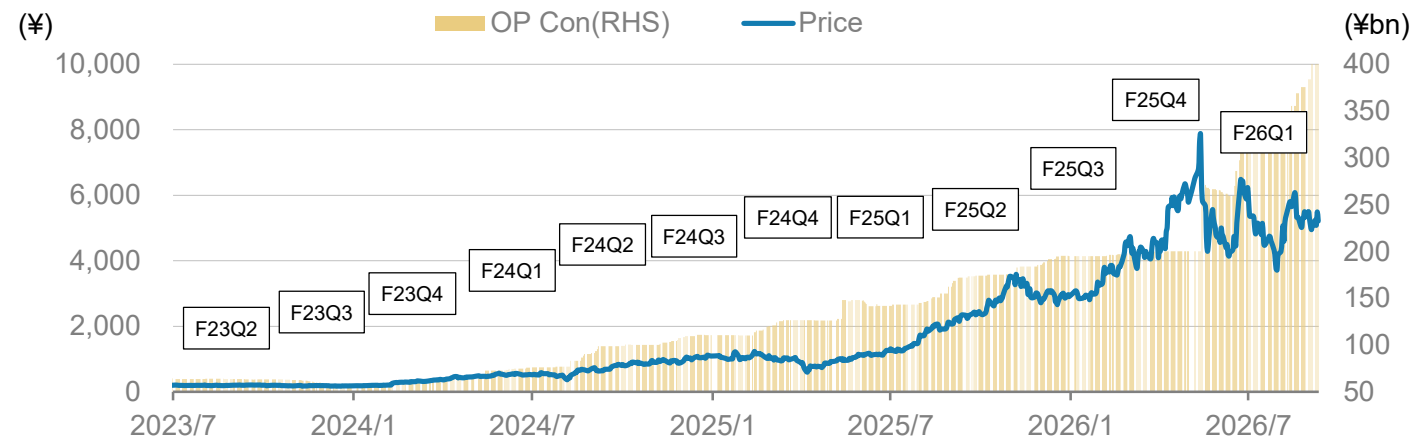
Note: Consensus = FactSet Consensus Mean, Source: FactSet, Morgan Stanley Research

Exhibit 17: Sumitomo Electric: Stock Price & OP Consensus Estimate Trend



Note: Consensus = FactSet Consensus Mean, Source: FactSet, Morgan Stanley Research

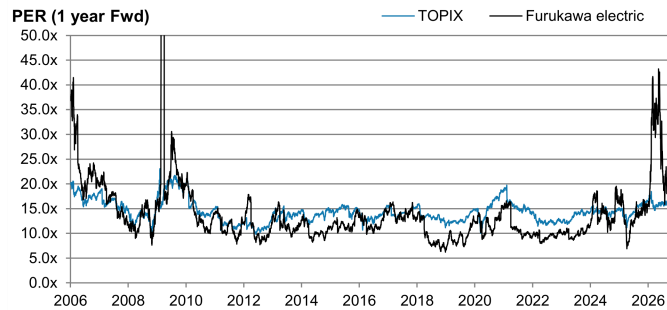
Exhibit 18: Fujikura: Stock Price & OP Consensus Estimate Trend



Note: Consensus = FactSet Consensus Mean, Source: FactSet, Morgan Stanley Research

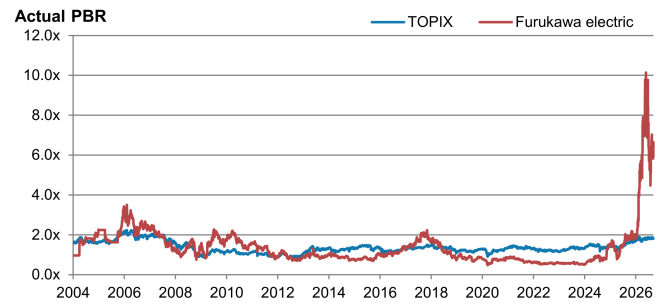
Valuation Trends

Exhibit 19: Estimated P/E: Furukawa Electric vs TOPIX



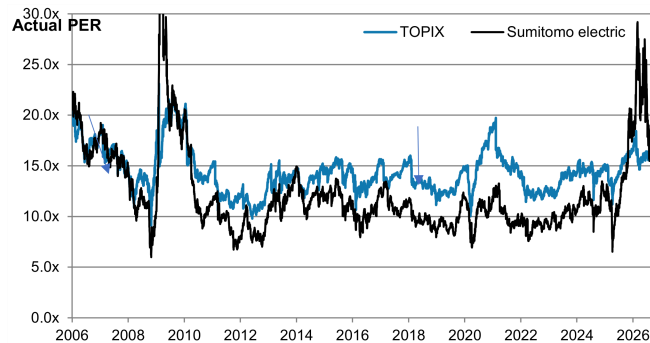
Source: Bloomberg, Morgan Stanley Research

Exhibit 20: P/B: Furukawa Electric vs TOPIX



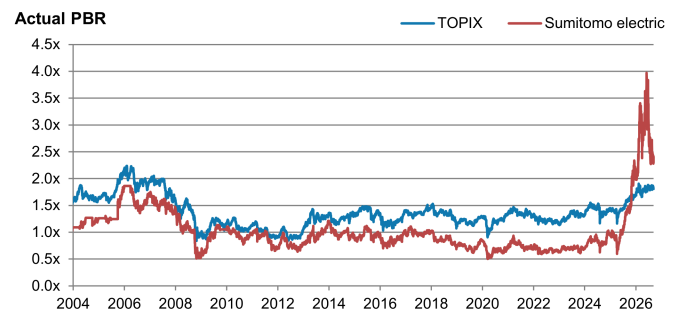
Source: Bloomberg, Morgan Stanley Research

Exhibit 21: Estimated P/E: Sumitomo Electric vs TOPIX



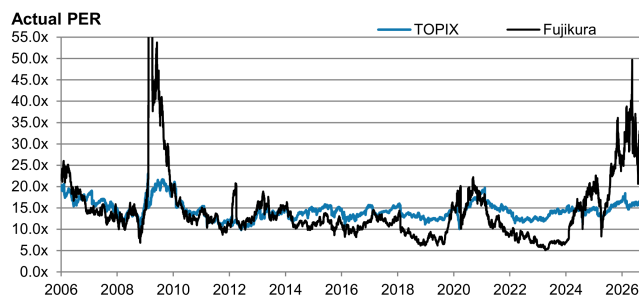
Source: Bloomberg, Morgan Stanley Research

Exhibit 22: P/B: Sumitomo Electric vs TOPIX



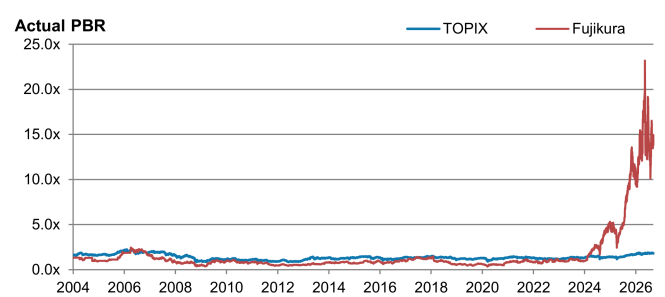
Source: Bloomberg, Morgan Stanley Research

Exhibit 23: Estimated P/E: Fujikura vs TOPIX



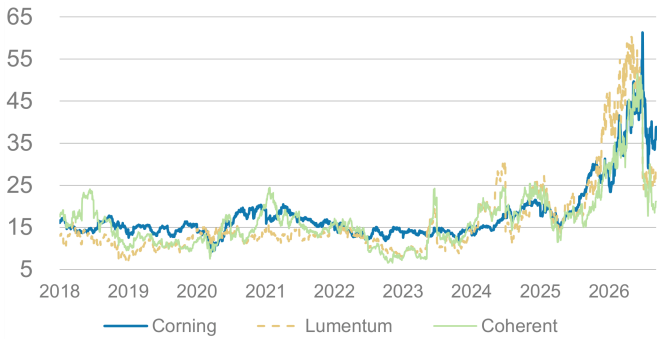
Source: Bloomberg, Morgan Stanley Research

Exhibit 24: P/B: Fujikura vs TOPIX



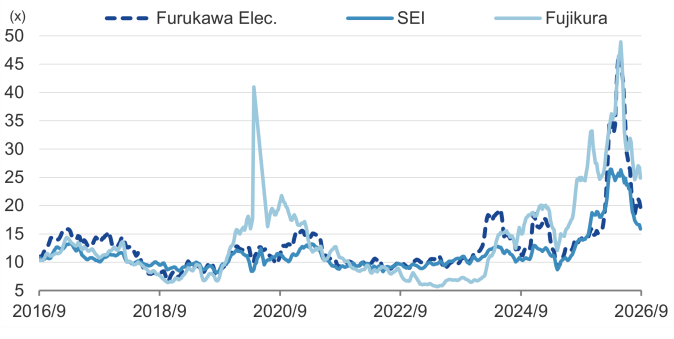
Source: Bloomberg, Morgan Stanley Research

Exhibit 25: Corning, Lumentum, and Coherent P/E



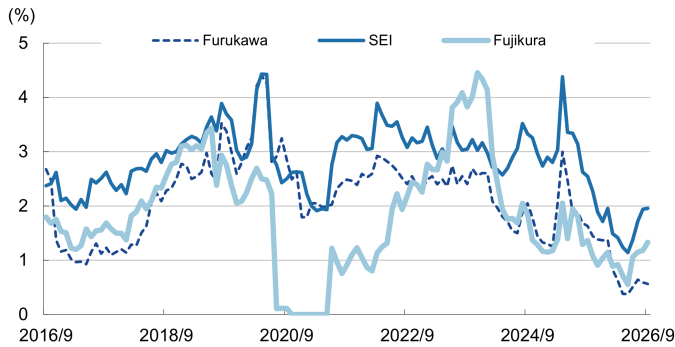
Source: Bloomberg, Morgan Stanley Research

Exhibit 26: 3 Cable Companies P/E



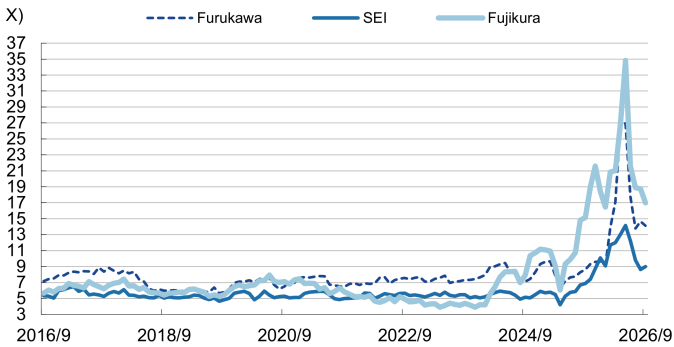
Source: FactSet, Morgan Stanley Research

Exhibit 27: 3 Cable Companies Dividend Payout Ratio



Source: Bloomberg, Morgan Stanley Research

Exhibit 28: 3 Cable Companies EV/EBITDA



Source: Bloomberg, Morgan Stanley Research



Earnings Summary: Furukawa Electric (5801.T)

Exhibit 29: Financial Summary (1)

(Unit: JPYbn)	J-GAAP F2016	J-GAAP F2017	J-GAAP F2018	J-GAAP F2019	J-GAAP F2020	J-GAAP F2021	J-GAAP F2022	J-GAAP F2023	J-GAAP F2024	J-GAAP F2025	J-GAAP F2026e	J-GAAP F2027e	J-GAAP F2028e	CAGR 26e-28e	Old F2026e	Old F2027e	Old F2028e
P/L																	
Old Revenue	843.3	967.3	991.6	914.4	811.6	930.5	1,066.3	1,056.5	1,201.8	1,307.6	1,493.9	1,747.3	1,967.4	14.8%	1,493.9	1,747.3	1,967.4
Communications Solutions	168.5	191.3	179.9	166.4	158.3	191.3	217.6	168.0	167.0	229.3							
Energy Infrastructure	95.3	102.1	108.1	114.5	100.9	105.7	106.3	110.2	142.1	141.6							
Automotive Products & Batteries	223.4	248.1	267.3	257.6	235.1	249.9	337.4	379.8	409.5	397.8							
Electronics Component Materials	232.1	285.6	294.4	251.7	198.0	250.8	273.0	273.9	327.0	367.3							
Functional Products	131.5	153.1	149.3	115.9	114.7	130.0	126.5	115.4	147.0	161.1							
Service and Developments, etc.	49.7	51.0	48.6	50.3	38.7	34.5	31.7	31.6	34.8	42.2							
Adjustment	-57.0	-63.9	-55.9	-42.0	-34.0	-31.6	-26.1	-22.4	-25.6	-31.7							
New Revenue	843.3	967.3	991.6	914.4	811.6	930.5	1,066.3	1,056.5	1,201.8	1,307.6	1,493.9	1,747.3	1,967.4	14.8%	1,493.9	1,747.3	1,967.4
Optical Solutions										196.9	273.1	338.6	407.1	22.1%	263.3	326.2	391.8
Digital Infrastructure Components										198.0	313.4	474.6	611.0	39.6%	305.6	495.1	639.6
Energy Infrastructure										138.8	136.0	132.0	134.0	-0.7%	142.0	143.0	143.0
Automotive Systems										357.5	360.0	368.0	376.0	2.2%	364.0	364.0	374.0
Metal Solutions										372.9	497.7	497.0	497.0	-0.1%	443.0	443.0	443.0
Service and Developments, etc.										105.8	50.3	52.0	52.0	1.7%	52.0	52.0	52.0
Elimination of intra-company transactions										-62.5	-72.3	-76.0	-76.0	2.5%	-76.0	-76.0	-76.0
Revenue Growth (Y/Y, %)											14.3	17.0	12.6		14.3	17.0	12.6
Optical Solutions											38.7	24.0	20.2		33.7	23.9	20.1
Digital Infrastructure Components											58.3	51.4	28.7		54.3	62.0	29.2
Energy Infrastructure											-2.0	-2.9	1.5		2.3	0.7	0.0
Automotive Systems											0.7	2.2	2.2		1.8	0.0	2.7
Metal Solutions											33.5	-0.1	0.0		18.8	0.0	0.0
Service and Developments, etc.											-52.5	3.4	0.0		-50.9	0.0	0.0
Old Operating Profit	38.6	44.8	40.8	23.6	8.4	11.4	15.4	11.2	47.0	63.9	131.0	177.0	234.0	33.7%	100.0	158.0	202.0
Communications Solutions	14.2	14.0	9.8	1.6	-0.2	3.8	6.5	-13.0	-4.0	11.8							
Energy Infrastructure	0.1	-1.6	-2.4	0.1	-1.9	1.4	2.1	1.7	9.8	9.6							
Automotive Products & Batteries	10.1	13.2	13.5	10.9	5.0	-4.6	1.5	15.6	27.6	28.0							
Electronics Component Materials	2.7	5.1	6.0	3.9	0.9	4.8	3.2	3.1	5.0	5.9							
Functional Products	11.7	14.0	13.5	7.5	6.3	7.6	4.2	5.5	14.1	15.4							
Service and Developments, etc.	-0.1	-0.0	0.3	-0.3	-1.7	-1.4	-2.1	-1.9	-5.4	-6.7							
Adjustment	-0.0	0.1	0.1	0.0	0.1	-0.1	0.1	0.1	-0.1	-0.1							
Operating Profit	38.6	44.8	40.8	23.6	8.4	11.4	15.4	11.2	47.0	63.9	131.0	177.0	234.0	33.7%	100.0	158.0	202.0
Optical Solutions										33.9	48.0	65.0	88.0		29.9	46.2	55.8
Digital Infrastructure Components										31.6	52.0	80.0	113.0		39.5	81.2	115.4
Energy Infrastructure										6.3	8.0	8.0	8.0		8.6	8.6	8.6
Automotive Systems										17.0	24.0	24.0	25.0		22.0	22.0	22.6
Metal Solutions										2.9	4.0	5.0	5.0		5.0	5.5	5.5
Service and Developments, etc.										-4.0	-5.0	-5.0	-5.0		-5.0	-5.0	-5.0
Elimination of intra-company transactions										0.0	0.0	0.0	0.0		0.0	-0.5	-0.9
Operating Profit Margin (%)										4.9	8.8	10.1	11.9		6.7	9.0	10.3
Optical Solutions										17.2	17.6	19.2	21.6		11.4	14.2	14.2
Digital Infrastructure Components										16.0	16.6	16.9	18.5		12.9	16.4	18.0
Energy Infrastructure										4.5	5.9	6.1	6.0		6.1	6.0	6.0
Automotive Systems										4.7	6.7	6.5	6.6		6.0	6.0	6.0
Metal Solutions										0.8	0.8	1.0	1.0		1.1	1.2	1.2
Service and Developments, etc.										-3.8	-9.9	-9.6	-9.6		-9.6	-9.6	-9.6
Equity Method Income	0.1	4.3	1.7	2.5	-0.9	9.0	6.0	6.3	10.6	16.5	26.9	40.0	48.0		28.0	40.0	48.0
Other non-operating income	-2.7	-2.2	-3.4	-3.3	-2.3	-0.8	-1.8	-7.2	-9.1	-4.5	-6.7	-8.4	-8.4		-8.4	-8.4	-8.4
Recurring Profit	36.0	46.9	39.1	22.8	5.2	19.7	19.6	10.3	48.5	75.9	151.2	208.6	273.6	34.5%	119.6	189.6	241.6
One-off Profit / Loss, net	-8.1	-6.4	-3.3	8.0	16.1	0.8	10.7	9.8	5.5	29.1	0.1	0.0	0.0		0.0	0.0	0.0
Pretax Profit	28.0	40.5	35.8	30.8	21.3	20.4	30.3	20.1	54.0	104.9	151.3	208.6	273.6	34.5%	119.6	189.6	241.6
Tax	5.5	8.2	3.3	11.8	9.2	7.2	10.7	11.6	16.7	29.0	42.4	58.4	76.6		33.5	53.1	67.6
Non-controlling Interest	4.9	3.8	3.3	1.4	2.1	3.1	1.7	2.0	3.9	3.4	2.9	2.8	2.8		2.8	2.8	2.8
Net Income for Shareholders	17.6	28.5	29.1	17.6	10.0	10.1	17.9	6.5	33.4	72.5	105.9	147.4	194.2	35.4%	83.3	133.7	171.2
Capital Expenditure	31.6	38.5	50.0	53.1	40.0	38.1	43.8	39.0	38.6	56.7	150.0	140.0	140.0		150.0	140.0	140.0
Depreciation	23.4	25.1	26.3	29.4	32.2	33.7	39.1	39.0	41.3	43.2	50.0	56.5	62.0		50.0	56.5	62.0
Research & Development	17.5	19.5	21.1	21.7	20.2	20.8	23.3	24.5	25.4	28.4	33.9	38.8	43.5		32.5	38.0	42.8
Per Share Data																	
EPS	24.9	40.5	41.3	25.0	14.2	14.3	25.4	9.2	47.3	103.1	151.4	210.6	277.5	35.4%	118.9	190.9	244.5
BPS	293.3	335.6	351.4	340.9	368.7	396.7	431.2	465.7	484.5	592.8	725.4	911.0	1,156.5	26.3%	692.4	859.4	1,073.8
DPS	5.5	8.0	8.5	8.5	6.0	6.0	8.0	6.0	12.0	21.0	22.0	25.0	32.0		22.0	24.0	30.0
ROE (%)	8.5	12.1	11.8	7.3	3.8	3.6	5.9	2.0	9.8	17.4	20.9	23.1	24.0		17.2	22.2	22.8
Dividend Payout Ratio (%)	22.1	19.8	20.6	34.0	42.3	41.8	31.4	65.0	25.4	20.4	14.5	11.9	11.5		18.5	12.6	12.3
Shares outstanding (million)	705.2	704.8	704.9	704.9	704.9	703.9	703.9	703.9	704.3	704.7	703.5	703.5	703.5		704.7	704.7	704.7

Note: Segments changed from F3/26. Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 30: Financial Summary (2)

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR	J-GAAP	J-GAAP	J-GAAP
B/S	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-28e	F2026e	F2027e	F2028e
Cash & Equivalents	46.1	49.8	46.8	55.1	87.2	67.6	52.0	53.1	66.1	70.5	45.6	45.3	83.9		36.8	18.0	33.1
Marketable Securities	1.1	0.9	0.2	0.2	0.1	0.8	0.6	0.5	0.7	0.5	0.5	0.5	0.5		0.5	0.5	0.5
Acct Receivable	198.9	224.3	219.3	192.5	191.9	230.3	229.6	245.7	260.6	266.5	308.5	353.7	396.3		295.8	346.0	389.6
Inventories	104.4	113.8	122.9	115.9	120.8	164.1	172.3	183.6	195.0	210.9	245.2	272.0	293.6		236.4	264.7	289.2
Other Current Assets	32.0	37.4	31.3	22.5	29.8	40.1	32.4	34.8	34.1	47.2	47.2	47.2	47.2		47.2	47.2	47.2
Total Current Assets	382.4	426.1	420.5	386.2	429.8	503.0	486.8	517.8	556.4	595.5	647.1	718.7	821.4		616.7	676.3	759.6
PP&E, net	205.5	216.7	229.4	254.2	246.7	260.2	269.3	278.6	277.0	276.9	376.9	460.4	538.4		376.9	460.4	538.4
Goodwill and Goodwill-like Intangibles	3.1	2.5	2.8	2.1	1.5	0.6	0.2	0.1	0.6	2.5	2.5	2.5	2.5		2.5	2.5	2.5
Amortizable Intangibles	6.6	8.8	9.5	14.0	18.8	19.9	20.0	20.2	23.4	23.0	23.0	23.0	23.0		23.0	23.0	23.0
Investments in securities	125.2	132.3	119.2	100.9	101.7	116.8	120.9	131.7	98.8	145.5	172.4	212.4	260.4		173.5	213.5	261.5
Deferred tax assets	4.0	3.6	13.6	14.7	6.9	7.9	9.4	8.6	6.6	3.8	3.8	3.8	3.8		3.8	3.8	3.8
Other assets, noncurrent	23.3	25.8	23.1	22.5	26.6	27.6	28.1	28.1	25.2	19.3	19.3	19.3	19.3		19.3	19.3	19.3
Total Non Current Assets	367.7	389.7	397.5	408.4	402.2	432.9	448.0	467.2	431.6	470.9	597.7	721.2	847.2	19.1%	598.9	722.4	848.4
Total Assets	750.1	815.8	818.0	794.6	832.0	935.9	934.8	985.0	988.1	1,066.4	1,244.8	1,439.9	1,668.7	15.8%	1,215.6	1,398.7	1,607.9
Accounts Payable	108.1	124.4	131.4	111.6	115.5	128.0	125.4	128.8	136.7	140.5	179.2	201.5	220.7		172.7	196.1	217.4
Short-term debt	100.3	116.3	106.7	110.5	103.5	169.0	169.3	172.9	154.8	174.4	152.9	152.9	157.9		152.9	152.9	157.9
Other liabilities, current	85.0	89.7	93.5	97.5	96.2	82.7	86.3	99.2	103.0	113.7	113.7	113.7	113.7		113.7	113.7	113.7
Total Current liabilities	293.4	330.3	331.6	319.6	315.2	379.7	381.0	400.9	394.5	428.7	445.8	468.1	492.3	5.1%	439.3	462.7	489.0
Long-term debt	152.2	142.2	139.3	125.6	157.1	173.1	154.5	160.2	151.4	142.3	210.2	250.2	280.2		210.2	250.2	280.2
Retirement pension obligations	45.2	43.2	47.7	53.5	44.5	43.8	38.2	29.2	31.6	13.6	13.6	13.6	13.6		13.6	13.6	13.6
Deferred tax liabilities	6.3	9.5	1.5	0.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Other liabilities, noncurrent	16.0	18.5	17.9	22.5	23.6	25.2	30.0	36.7	36.9	46.6	46.6	46.6	46.6		46.6	46.6	46.6
Total Non Current Liabilities	219.7	213.4	206.5	201.9	225.2	242.1	222.8	226.1	219.8	202.5	270.4	310.4	340.4	12.2%	270.4	310.4	340.4
Common stock	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4		69.4	69.4	69.4
Additional paid-in capital	21.6	22.3	22.5	22.8	23.0	23.2	23.2	23.2	23.9	23.8	23.8	23.8	23.8		23.8	23.8	23.8
Retained earnings	103.9	128.1	151.7	165.1	168.5	174.3	188.8	192.9	198.8	264.7	355.2	485.1	657.0		332.6	449.5	599.7
Treasury stocks	-0.6	-0.6	-0.6	-0.6	-0.6	-0.9	-0.9	-0.7	-0.7	-1.7	-1.7	-1.7	-1.7		-1.7	-1.7	-1.7
Shareholders' Equity	194.3	219.2	243.1	256.7	260.4	266.0	280.6	284.7	291.5	356.2	446.7	576.6	748.4	29.4%	424.0	540.9	691.1
Noncontrolling interests	30.3	35.6	32.3	32.8	31.7	34.8	27.4	29.9	32.3	18.2	21.1	23.9	26.7		21.0	23.8	26.6
Accumulated OCI	12.4	17.3	4.6	-16.4	-0.5	13.2	23.0	43.4	49.9	60.9	60.9	60.9	60.9		60.9	60.9	60.9
Liabs+Shareholders' Equity	750.1	815.8	818.0	794.6	832.0	935.9	934.8	985.0	988.1	1,066.4	1,244.8	1,439.9	1,668.7	15.8%	1,215.6	1,398.7	1,607.9

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR	J-GAAP	J-GAAP	J-GAAP
C/F	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-28e	F2026e	F2027e	F2028e
Net Income	17.6	28.5	29.1	17.6	10.0	10.1	17.9	6.5	33.4	72.5	105.9	147.4	194.2		83.3	133.7	171.2
Depreciation	23.4	25.1	26.3	29.4	32.2	33.7	39.1	39.0	41.3	43.2	50.0	56.5	62.0		50.0	56.5	62.0
Goodwill amortization	0.6	0.6	0.6	0.7	0.7	0.7	0.7	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Change in accounts receivable	-10.9	-26.4	1.2	23.5	-13.8	-28.2	5.8	-5.9	-7.2	-23.8	-42.1	-45.2	-42.5		-29.4	-50.2	-43.6
Change in inventories	-7.5	-9.4	-11.5	4.1	-13.8	-36.0	-3.4	-5.0	-7.6	-26.1	-34.3	-26.8	-21.6		-25.5	-28.3	-24.5
Change in accounts payable	7.3	17.1	6.0	-17.3	12.2	11.9	-8.7	-3.9	2.5	5.9	38.6	22.4	19.1		32.2	23.4	21.3
Other operating cash flow	10.0	2.9	-5.2	-16.1	-27.9	-5.4	-14.8	1.3	-2.6	-43.7	-23.9	-37.2	-45.2		-25.2	-37.2	-45.2
Cash flow from operating activities	40.4	38.4	46.5	41.9	-0.5	-13.3	36.5	31.9	59.8	28.1	94.2	117.1	166.0	32.8%	85.4	97.9	141.1
Capital Expenditure	-28.4	-34.3	-43.1	-47.3	-33.4	-36.5	-35.9	-36.4	-36.7	-46.1	-150.0	-140.0	-140.0		-150.0	-140.0	-140.0
Purchase of intangible assets	2.5	3.5	4.0	6.6	7.3	3.5	3.4	3.8	4.8	6.0	0.0	0.0	0.0		0.0	0.0	0.0
Change in investment securities	-1.2	-0.3	6.1	9.4	12.7	3.1	18.6	17.6	43.7	29.3	0.0	0.0	0.0		0.0	0.0	0.0
Net disposals (acquisitions)	0.0	0.1	1.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Other investment cash flow	-4.2	3.8	8.1	11.4	26.1	-3.1	-1.0	-2.1	-9.4	-24.3	0.0	0.0	0.0		0.0	0.0	0.0
Cash flow from investing activities	-36.4	-34.3	-31.0	-33.1	-1.9	-40.1	-21.7	-24.8	-7.2	-47.1	-150.0	-140.0	-140.0	-3.4%	-150.0	-140.0	-140.0
Change in short-term debt	-3.1	0.9	4.1	16.7	17.0	41.1	-24.1	-4.5	-33.6	18.1	-21.5	0.0	5.0		-21.5	0.0	5.0
Change in long-term debt	-2.5	1.9	-15.2	-8.5	25.9	1.3	-2.4	4.2	1.2	15.8	67.9	40.0	30.0		67.9	40.0	30.0
Net share issuance (repurchase)	-0.4	-0.0	-0.0	-0.0	-0.0	-0.4	0.0	0.2	0.8	-1.2	0.0	0.0	0.0		0.0	0.0	0.0
Dividends paid	-3.5	-5.1	-7.9	-7.4	-6.0	-4.2	-4.2	-5.6	-4.2	-8.5	-15.4	-17.5	-22.4		-15.4	-16.8	-21.0
Other financial cash flow	-0.9	0.4	-0.4	-1.1	-1.7	-2.7	-3.7	-3.6	-8.3	-4.3	0.0	0.0	0.0		0.0	0.0	0.0
Cash flow from financing activities	-10.4	-1.9	-19.4	-0.2	35.1	35.0	-34.5	-9.3	-44.2	19.9	31.0	22.5	12.6	-36.2%	31.0	23.2	14.0
Net change in cash & cash equivalents	-5.5	3.6	-2.9	8.2	32.1	-19.6	-15.7	1.1	13.0	4.4	-24.8	-0.4	38.6		-33.6	-18.9	15.1
FX effect	-0.3	1.0	0.9	-0.9	-0.6	-1.8	2.8	3.0	3.3	2.6	0.0	0.0	0.0		0.0	0.0	0.0
Other	1.1	0.4	0.2	0.5	-0.0	0.6	1.2	0.4	1.3	0.8	0.0	0.0	0.0		0.0	0.0	0.0
Cash at end of period	46.1	49.8	46.8	55.1	87.2	67.6	52.0	53.1	66.1	70.5	45.6	45.3	83.9	35.6%	36.8	18.0	33.1

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 31: Financial summary (3)

(Unit: JPYbn)	F2025				F2026				F2027				F2028			
P/L	1Q	2Q	3Q	4Q	1Q	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe
Revenue	293.7	316.9	338.2	358.7	348.9	357.6	378.7	408.7	417.9	427.6	440.4	461.4	478.7	481.0	497.0	510.7
Communications Solutions	47.0	56.4	56.0	69.9												
Energy Infrastructure	33.3	35.5	33.9	38.9												
Automotive Products & Batteries	96.2	98.5	110.8	92.3												
Electronics Component Materials	77.4	79.9	96.9	113.0												
Functional Products	37.3	43.4	38.5	41.9												
Service and Developments, etc.	9.7	10.1	10.6	11.8												
Adjustment	-7.3	-6.9	-8.5	-9.1												
New Revenue					348.9	357.6	378.7	408.7	417.9	427.6	440.4	461.4	478.7	481.0	497.0	510.7
Optical Solutions					60.0	64.5	69.7	78.9	77.4	81.1	86.0	94.1	93.4	97.8	103.5	112.4
Digital Infrastructure Components					59.6	73.2	82.3	98.3	107.8	114.2	121.9	130.9	147.5	147.5	157.5	158.5
Energy Infrastructure					36.0	34.0	33.0	33.0	33.0	33.0	33.0	33.0	33.5	33.5	33.5	33.5
Automotive Systems					92.0	88.0	90.0	90.0	93.0	91.0	91.0	93.0	95.0	93.0	93.0	95.0
Metal Solutions					121.7	127.0	127.0	122.0	126.0	122.0	127.0	122.0	126.0	122.0	127.0	122.0
Service and Developments, etc.					11.3	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0
Elimination of intra-company transactions					-15.3	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0
Revenue Growth (Y/Y, %)									19.8	19.6	16.3	12.9	14.6	12.5	12.9	10.7
Optical Solutions									28.9	25.7	23.4	19.3	20.6	20.6	20.3	19.4
Digital Infrastructure Components									80.7	56.0	48.1	33.1	36.9	29.2	29.3	21.1
Energy Infrastructure									-8.3	-3.0	0.0	0.0	1.5	1.5	1.5	1.5
Automotive Systems									1.1	3.4	1.1	3.3	2.2	2.2	2.2	2.2
Metal Solutions									3.6	-3.9	0.0	0.0	0.0	0.0	0.0	0.0
Service and Developments, etc.									15.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating Profit	8.4	10.9	15.8	28.7												
Communications Solutions	-0.7	0.9	2.7	9.0												
Energy Infrastructure	0.8	1.8	3.0	4.1												
Automotive Products & Batteries	5.6	5.2	8.1	9.0												
Electronics Component Materials	1.0	1.2	0.2	3.4												
Functional Products	4.0	3.4	3.3	4.7												
Service and Developments, etc.	-2.1	-1.7	-1.3	-1.7												
Adjustment	-0.2	0.1	-0.0	-0.0												
Operating Profit					15.4	19.9	28.1	36.6	31.2	36.4	42.4	48.0	43.7	47.1	53.7	57.5
Optical Solutions					9.2	11.4	13.3	14.1	13.7	14.7	17.3	19.3	18.7	19.9	23.9	25.5
Digital Infrastructure Components					7.4	9.2	15.1	20.4	17.5	19.2	20.8	22.6	27.0	27.3	29.2	29.5
Energy Infrastructure					3.0	2.0	1.3	1.7	1.3	2.1	2.3	2.3	1.3	2.1	2.3	2.3
Automotive Systems					6.4	5.7	4.9	7.0	5.2	6.0	5.5	7.3	5.8	6.1	5.6	7.5
Metal Solutions					0.8	1.1	1.0	1.1	1.2	1.1	1.4	1.3	1.2	1.1	1.4	1.3
Service and Developments, etc.					-1.1	-1.9	-1.0	-1.0	-1.5	-1.5	-1.0	-1.0	-1.5	-1.5	-1.0	-1.0
Elimination of intra-company transactions					-0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating Profit Margin (%)					4.4	5.6	7.4	9.0	7.5	8.5	9.6	10.4	9.1	9.8	10.8	11.3
Optical Solutions					15.3	17.7	19.1	17.9	17.7	18.1	20.1	20.5	20.0	20.3	23.1	22.7
Digital Infrastructure Components					12.4	12.6	18.3	20.7	16.2	16.8	17.0	17.3	18.3	18.5	18.5	18.6
Energy Infrastructure					8.3	5.9	3.9	5.2	3.9	6.4	7.0	7.0	3.9	6.3	6.9	6.9
Automotive Systems					6.9	6.5	5.4	7.8	5.6	6.6	6.0	7.8	6.1	6.6	6.0	7.9
Metal Solutions					0.6	0.9	0.8	0.9	1.0	0.9	1.1	1.1	1.0	0.9	1.1	1.1
Service and Developments, etc.					-10.0	-14.4	-7.7	-7.7	-11.5	-11.5	-7.7	-7.7	-11.5	-11.5	-7.7	-7.7
Equity Method Income	2.1	3.0	4.3	7.2	5.9	7.0	7.0	7.0	10.0	10.0	10.0	10.0	12.0	12.0	12.0	12.0
Other non-operating income	-2.8	-1.1	0.2	-1.5	25.1	25.5	32.4	41.3	35.3	39.5	44.2	49.7	50.4	52.9	59.3	63.0
Recurring Profit	7.8	12.7	20.3	34.4	31.0	32.5	39.4	48.3	45.3	49.5	54.2	59.7	62.4	64.9	71.3	75.0
One-off Profit / Loss, net	-0.1	0.5	10.2	19.2	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Pretax Profit	7.7	13.2	30.5	53.6	31.0	32.5	39.4	48.3	45.3	49.5	54.2	59.7	62.4	64.9	71.3	75.0
Tax	1.8	4.5	7.4	15.3	8.0	9.8	11.0	13.6	12.7	13.8	15.2	16.7	17.5	18.1	20.0	21.0
Non-controlling Interest	0.7	0.9	0.5	1.3	0.8	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7
Net Income for Shareholders	5.2	7.8	22.6	37.0	22.2	22.0	27.7	34.0	31.9	35.0	38.3	42.3	44.2	46.1	50.6	53.3

Note: Segments changed from F3/26. Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

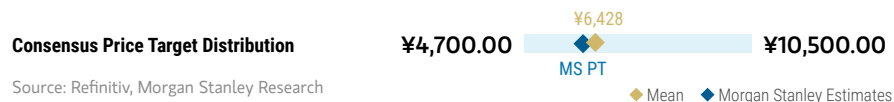
Risk Reward – Furukawa Electric (5801.T)

DC-related products drive earnings growth

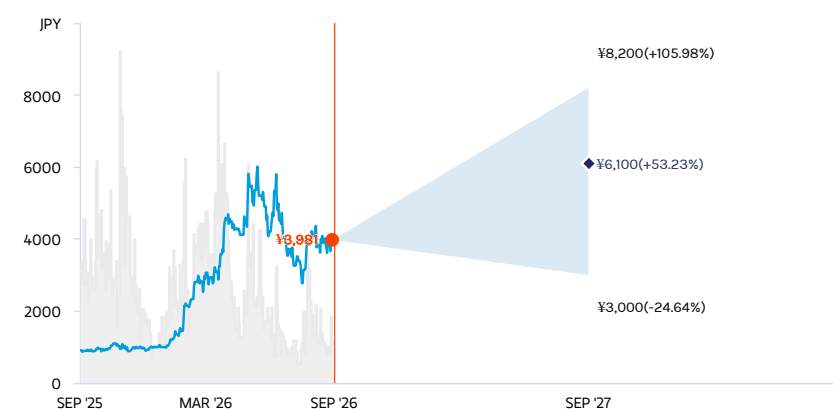
PRICE TARGET ¥6,100

We use a residual income model, with assumptions including 10.0% capital cost (2.9% risk-free rate, 6.2% equity risk premium, 1.15 beta), 45% payout ratio, mid-term growth rate of ~16.0%, terminal growth rate of 3.5%. Equates to P/E of 29.0x on our F3/28e EPS of ¥211.

Consensus Price Target Distribution



RISK REWARD CHART

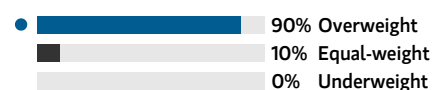


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We assign an OW rating from a relative perspective within the industry.
- DC-focused communications solutions and functional products are the earnings drivers.
- With major investments in liquid-cooled modules already in place, the company is moving into the recouping phase.

Consensus Rating Distribution



Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

¥8,200

Share price aligned to residual income model

Further growth for fiberoptic cable business in N. America and optical components for data centers. Profit surpasses the base case by 20% from F3/27. Equates to P/E of 35.1x on estimated F3/28e EPS of ¥234.

BASE CASE

¥6,100

Derived from a residual income model

We forecast recovery in communications solutions, growth in functional products profit, and continuing high margins on automotive parts. Our OP forecasts are ¥131bn for F3/27, ¥177bn for F3/28, ¥234bn for F3/29. Equates to P/E of 29.0x on our F3/28e EPS of ¥211.

BEAR CASE

¥3,000

Share price aligned to residual income model

Recovery in communications solutions faces setbacks, and automotive parts margins shrink. Profit is 30% below the base case from F3/27. Equates to P/E of 17.1x on estimated F3/28e EPS of ¥176.

Risk Reward – Furukawa Electric (5801.T)

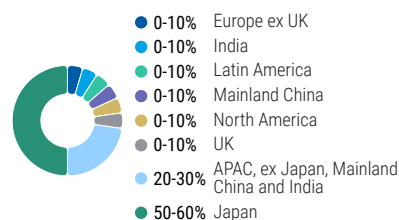
KEY EARNINGS INPUTS

Drivers	Mar 2026	Mar 2027e	Mar 2028e	Mar 2029e
Communications Solutions OP (¥, mn)	11,811	55,000	76,500	106,400
Energy Infrastructure OP (¥, mn)	9,627	8,000	8,000	8,000
Functional Products OP (¥, mn)	15,379	43,000	66,800	92,800

INVESTMENT DRIVERS

- Increased fiberoptic cable sales volume
- Increased optical connector and DFB sales volumes
- Increased sales volumes for thermal products
- Management attention to capital efficiency

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher sales volumes on healthier business sentiment than expected
- Faster improvement in product mix for communications solutions than expected

RISKS TO DOWNSIDE

- Decline in sales volume on weaker business sentiment than expected
- Delayed price pass-through due to sharp rises in raw material costs and other material costs
- Sharper yen appreciation than anticipated

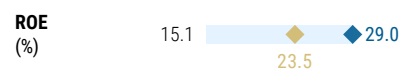
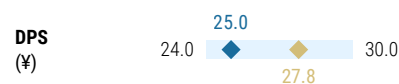
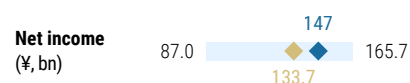
OWNERSHIP POSITIONING

Inst. Owners, % Active 72.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2028e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Earnings Summary: Sumitomo Electric (5802.T)

Exhibit 32: Financial Summary (1)

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR	Old	Old	Old
P/L	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-28e	F2026e	F2027e	F2028e	
Revenue	2,814.5	3,082.2	3,178.0	3,107.0	2,918.6	3,367.9	4,005.6	4,402.8	4,679.8	5,110.2	5,368.4	5,630.1	6,000.4	5.7%	5,186.1	5,516.5	5,914.7	
Automotive	1,513.2	1,632.0	1,709.4	1,683.6	1,602.0	1,754.2	2,186.8	2,596.4	2,734.7	2,937.2	3,104.8	3,137.2	3,179.5	1.2%	2,942.5	2,981.9	3,022.1	
ns	198.2	220.3	208.4	217.4	224.6	239.2	250.3	206.1	223.3	326.6	500.1	756.0	917.0	35.4%	546.5	801.0	992.0	
Electronics	251.1	246.3	228.9	252.2	252.6	292.5	366.0	356.5	377.2	409.1	412.5	413.4	415.4	0.4%	406.6	410.1	412.1	
Environment and Energy	621.4	718.0	759.8	712.5	634.2	833.4	928.2	980.0	1,081.3	1,178.8	1,066.9	1,051.0	1,216.0	6.8%	1,021.0	1,051.0	1,216.0	
Industrial Materials and Others	303.9	343.1	357.8	331.4	302.5	327.9	363.3	364.2	372.7	388.4	427.2	412.5	412.5	-1.7%	409.5	412.5	412.5	
Eliminations and Corporate	-73.5	-77.4	-86.4	-90.1	-97.4	-79.3	-89.2	-100.3	-109.5	-129.9	-143.1	-140.0	-140.0		-140.0	-140.0	-140.0	
Revenue Growth (Y/Y, %)	-4.0	9.5	3.1	-2.2	-6.1	15.4	18.9	9.9	6.3	9.2	5.1	4.9	6.6		1.5	6.4	7.2	
Automotive	-1.9	7.8	4.7	-1.5	-4.8	9.5	24.7	18.7	5.3	7.4	5.7	1.0	1.3		0.2	1.3	1.3	
ns	7.3	11.1	-5.4	4.3	3.3	6.5	4.7	-17.7	8.3	46.3	53.1	51.2	21.3		67.3	46.6	23.8	
Electronics	-19.5	-1.9	-7.1	10.2	0.2	15.8	25.1	-2.6	5.8	8.4	0.8	0.2	0.5		-0.6	0.9	0.5	
Environment and Energy	-5.8	15.5	5.8	-6.2	-11.0	31.4	11.4	5.6	10.3	9.0	-9.5	-1.5	15.7		-13.4	2.9	15.7	
Industrial Materials and Others	-2.6	12.9	4.3	-7.4	-8.7	8.4	10.8	0.2	2.3	4.2	10.0	-3.4	0.0		5.4	0.7	0.0	
Operating Profit	150.5	173.1	166.3	127.2	113.9	122.2	177.4	226.6	320.7	418.2	485.0	595.0	680.0	18.4%	445.0	555.0	635.0	
Automotive	98.6	96.8	84.7	68.2	48.2	12.3	55.7	144.7	172.4	179.7	183.0	193.0	200.0	4.5%	178.5	186.0	192.0	
ns	21.5	18.6	16.4	17.8	24.3	23.4	21.9	-11.6	19.9	77.4	162.0	265.0	333.0	43.4%	150.0	232.0	296.0	
Electronics	-10.9	5.4	7.0	0.5	10.0	19.8	38.3	29.3	29.3	39.5	37.5	36.0	37.0	-0.7%	33.0	36.0	37.0	
Environment and Energy	20.8	24.1	30.1	27.1	25.0	44.0	37.9	42.9	78.7	90.6	52.5	64.0	73.0	17.9%	50.0	64.0	73.0	
Industrial Materials and Others	20.5	28.2	28.2	13.4	6.7	23.0	24.0	21.1	20.6	31.4	50.0	37.0	37.0	-14.0%	33.5	37.0	37.0	
Eliminations and Corporate	-0.0	0.0	-0.1	0.1	-0.3	-0.3	-0.5	0.2	-0.3	-0.5	0.0	0.0	0.0		0.0	0.0	0.0	
Operating Profit Margin (%)	5.3	5.6	5.2	4.1	3.9	3.6	4.4	5.1	6.9	8.2	9.0	10.6	11.3		8.6	10.1	10.7	
Automotive	6.5	5.9	5.0	4.1	3.0	0.7	2.5	5.6	6.3	6.1	5.9	6.2	6.3		6.1	6.2	6.4	
ns	10.8	8.4	7.9	8.2	10.8	9.8	8.8	-5.6	8.9	23.7	32.4	35.1	36.3		27.4	29.0	29.8	
Electronics	-4.3	2.2	3.1	0.2	4.0	6.8	10.5	8.2	7.8	9.7	9.1	8.7	8.9		8.1	8.8	9.0	
Environment and Energy	3.3	3.4	4.0	3.8	3.9	5.3	4.1	4.4	7.3	7.7	4.9	6.1	6.0		4.9	6.1	6.0	
Industrial Materials and Others	6.7	8.2	7.9	4.1	2.2	7.0	6.6	5.8	5.5	8.1	11.7	9.0	9.0		8.2	9.0	9.0	
Equity Method Income	28.2	27.8	25.1	11.8	12.5	20.6	11.5	20.2	14.8	31.4	32.9	32.0	32.0		32.0	32.0	32.0	
Other non-operating income	-4.8	-5.9	-2.7	-8.5	-12.4	-4.6	-15.6	-31.5	-25.9	-18.3	-22.4	-26.0	-26.0		-26.0	-26.0	-26.0	
Recurring Profit	173.9	195.0	188.6	130.5	114.1	138.2	173.3	215.3	309.5	431.3	495.5	601.0	686.0	17.7%	451.0	561.0	641.0	
One-off Profit / Loss, net	-6.1	-1.7	-7.3	2.7	-3.7	21.8	23.1	23.2	-5.4	73.9	4.3	5.0	5.0		5.0	5.0	5.0	
Pretax Profit	167.8	193.3	181.4	133.2	110.3	159.9	196.5	238.5	304.1	505.2	499.8	606.0	691.0	17.6%	456.0	566.0	646.0	
Tax	41.4	53.3	51.2	44.8	41.6	50.2	64.2	69.6	82.2	104.0	138.0	160.7	184.6		118.7	149.5	172.0	
Non-controlling Interest	18.8	19.7	12.1	15.7	12.4	13.4	19.6	19.2	28.1	31.6	7.1	6.0	5.9		6.0	6.0	5.9	
Net Income for Shareholders	107.6	120.3	118.1	72.7	56.3	96.3	112.7	149.7	193.8	369.5	354.8	439.3	500.5		331.3	410.5	468.1	
Capital Expenditure	183.7	171.1	190.3	208.8	172.2	189.7	208.3	193.8	243.3	243.2	277.4	297.4	317.4		277.4	297.4	317.4	
Depreciation	130.7	141.4	148.9	163.6	168.0	180.5	196.0	206.3	206.2	209.8	235.0	245.0	255.0		235.0	245.0	255.0	
Research & Development	115.2	117.7	129.6	125.4	118.8	123.0	127.7	142.0	156.3	162.9	155.5	155.5	155.5		155.5	155.5	155.5	
Per Share Data																		
EPS	137.6	154.3	37.8	93.2	18.1	30.9	36.1	48.0	62.1	118.4	113.7	140.8	160.4	18.8%	424.8	526.3	600.2	
BPS	1,814.9	1,974.0	497.1	486.8	522.1	567.3	609.0	707.7	734.2	879.4	948.1	1,032.9	1,129.4	9.1%	3,772.4	4,087.7	4,447.9	
DPS	38.0	46.0	48.0	40.0	32.0	50.0	50.0	77.0	97.0	154.0	45.0	56.0	64.0	19.3%	170.0	211.0	240.0	
ROE (%)	7.7%	8.1%	7.6%	4.7%	3.6%	5.7%	6.1%	7.3%	8.6%	14.7%	12.4% e	14.2% e	14.8% e		11.7%	13.4%	14.1%	
Dividend Payout Ratio (%)	27.6	29.8	126.8	42.9	177.2	162.0	138.5	160.4	156.2	130.0	39.6	39.8	39.9		40.0	40.1	40.0	
Shares outstanding	781.6	779.9	3,119.6	3,119.6	3,119.6	3,119.5	3,119.5	3,119.5	3,119.5	3,119.7	3,119.7	3,119.7	3,119.7		779.9	779.9	779.9	

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 33: Financial Summary (2)

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR	J-GAAP	J-GAAP	J-GAAP
B/S	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-28e		F2026e	F2027e	F2028e
Cash & Equivalents	180.0	180.1	168.9	249.0	251.4	255.5	279.4	268.3	294.5	235.9	409.9	527.1	640.9			438.8	521.5	606.9
Marketable Securities	0.8	0.9	0.4	2.0	3.0	4.0	4.0	1.5	1.4	1.4	1.4	1.4	1.4			1.4	1.4	1.4
Acct Receivable	648.4	668.6	708.6	670.3	755.3	784.6	842.8	912.4	911.9	948.2	1,046.1	1,097.1	1,169.3			1,010.6	1,075.0	1,152.6
Inventories	449.1	466.4	528.8	552.0	606.3	844.8	851.2	885.0	923.0	1,018.1	1,059.3	1,106.5	1,175.8			1,035.1	1,088.6	1,165.9
Other Current Assets	148.2	129.1	106.9	103.7	113.4	167.9	185.2	175.0	189.3	220.9	220.9	220.9	220.9			220.9	220.9	220.9
Total Current Assets	1,426.6	1,445.1	1,513.6	1,577.0	1,729.4	2,056.9	2,162.7	2,242.2	2,320.1	2,424.6	2,737.7	2,953.1	3,208.3			2,706.8	2,907.5	3,147.7
PP&E, net	823.2	845.8	885.8	942.5	981.2	1,026.8	1,062.8	1,098.2	1,121.8	1,189.4	1,231.8	1,284.2	1,346.6			1,231.8	1,284.2	1,346.6
Goodwill and Goodwill-like Intangibles	11.0	9.1	2.5	2.8	1.6	1.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Amortizable Intangibles	43.4	40.0	38.2	35.1	34.6	34.4	36.7	39.8	61.4	62.1	62.1	62.1	62.1			62.1	62.1	62.1
Investments in securities	437.3	478.8	446.6	382.0	407.4	443.9	503.8	607.1	604.7	713.0	745.9	777.9	809.9			103.3	135.3	167.3
Deferred tax assets	19.7	17.0	33.4	38.2	29.5	32.3	30.9	32.0	39.0	41.7	41.7	41.7	41.7			41.7	41.7	41.7
Other assets, noncurrent	142.5	181.5	133.2	107.0	198.2	211.4	216.2	346.1	294.6	393.7	393.7	393.7	393.7			1,035.4	1,035.4	1,035.4
Total Non Current Assets	1,477.0	1,572.2	1,539.6	1,507.5	1,652.5	1,750.5	1,850.3	2,123.2	2,121.5	2,399.9	2,475.2	2,559.6	2,654.0	3.5%		2,474.3	2,558.7	2,653.1
Total Assets	2,903.6	3,017.3	3,053.3	3,084.5	3,381.9	3,807.4	4,013.0	4,365.4	4,441.6	4,824.5	5,212.9	5,512.7	5,862.3	6.0%		5,181.1	5,466.2	5,800.9
Accounts Payable	378.1	367.3	379.8	361.2	397.4	445.0	446.0	554.1	571.3	601.2	655.7	684.9	727.8			640.7	673.8	721.6
Short-term debt	194.6	186.9	248.6	307.6	334.7	500.2	608.2	395.6	346.7	274.0	346.7	346.7	346.7			346.7	346.7	346.7
Other liabilities, current	251.5	249.5	252.3	244.1	275.9	314.9	345.2	357.7	368.8	472.5	472.5	472.5	472.5			472.5	472.5	472.5
Total Current liabilities	824.2	803.7	880.8	912.8	1,008.1	1,260.1	1,399.4	1,307.4	1,286.8	1,347.8	1,474.9	1,504.1	1,547.0	2.4%		1,459.9	1,493.0	1,540.9
Long-term debt	313.9	301.4	288.2	278.4	337.1	307.1	290.4	339.5	341.3	301.5	341.3	341.3	341.3			341.3	341.3	341.3
Retirement pension obligations	54.6	54.7	55.9	58.0	49.6	46.0	45.8	52.9	51.8	53.9	53.9	53.9	53.9			53.9	53.9	53.9
Deferred tax liabilities	66.0	75.0	36.7	31.3	50.0	65.1	87.9	136.1	129.7	192.0	192.0	192.0	192.0			192.0	192.0	192.0
Other liabilities, noncurrent	18.5	18.4	15.5	37.2	44.7	76.2	78.7	97.6	101.6	94.3	94.3	94.3	94.3			94.3	94.3	94.3
Total Non Current Liabilities	452.9	449.5	396.2	404.9	481.3	494.4	502.8	626.1	624.3	641.8	681.5	681.5	681.5	0.0%		681.5	681.5	681.5
Common stock	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7			99.7	99.7	99.7
Additional paid-in capital	170.8	170.8	170.9	170.9	170.9	170.5	166.8	165.4	165.3	141.9	141.9	141.9	141.9			141.9	141.9	141.9
Retained earnings	1,061.4	1,160.6	1,216.2	1,251.8	1,346.2	1,383.0	1,493.7	1,618.7	1,903.6	2,118.0	2,382.6	2,683.4	2,904.3			2,102.3	2,348.3	2,629.2
Treasury stocks	-20.7	-20.7	-20.7	-20.8	-20.8	-20.8	-20.8	-20.8	-20.8	-20.8	-20.8	-20.8	-20.8			-20.8	-20.8	-20.8
Shareholders' Equity	1,311.2	1,410.4	1,466.1	1,501.6	1,531.6	1,595.7	1,628.8	1,738.1	1,862.9	2,124.5	2,338.9	2,603.5	2,904.3	11.4%		2,323.2	2,569.2	2,850.1
Noncontrolling interests	211.1	224.6	225.4	248.2	263.7	283.2	210.9	224.2	240.0	91.6	98.7	104.7	110.6	5.9%		97.6	103.6	109.5
Accumulated OCI	104.2	129.0	84.8	16.9	97.2	174.1	271.1	469.6	427.5	618.9	618.9	618.9	618.9			618.9	618.9	618.9
Liabs+Shareholders' Equity	2,903.6	3,017.3	3,053.3	3,084.5	3,381.9	3,807.4	4,013.0	4,365.4	4,441.6	4,824.5	5,212.9	5,512.7	5,862.3	6.0%		5,181.1	5,466.2	5,800.9

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR	J-GAAP	J-GAAP	J-GAAP
C/F	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-28e		F2026e	F2027e	F2028e
Net Income	107.6	120.3	118.1	72.7	56.3	96.3	112.7	149.7	193.8	369.5	354.8	439.3	500.5			331.3	410.5	468.1
Depreciation	130.7	141.4	148.9	163.6	168.0	180.5	196.0	206.3	206.2	209.8	235.0	245.0	255.0			235.0	245.0	255.0
Goodwill amortization	1.8	2.2	2.1	-10.4	1.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Change in accounts receivable	-29.4	-18.8	-41.0	50.9	-66.3	-27.4	-41.2	4.9	-0.9	-70.4	-97.9	-51.0	-72.2			-62.4	-64.4	-77.6
Change in inventories	-29.5	-17.6	-60.0	-27.6	-39.4	-195.1	26.5	21.3	-17.5	-47.9	-41.2	-47.2	-69.3			-16.9	-53.5	-77.3
Change in accounts payable	29.8	-11.6	12.8	-24.8	28.3	33.3	-7.3	21.4	-7.1	26.9	54.4	29.2	42.9			39.4	33.1	47.8
Other operating cash flow	-1.8	23.5	-3.2	40.2	21.5	-11.6	-21.4	-10.2	27.9	-62.8	-25.8	-26.0	-26.1			-26.0	-26.0	-26.1
Cash flow from operating activities	209.2	239.6	177.7	264.6	169.7	76.0	265.2	393.5	402.3	425.2	479.3	589.3	630.8	14.7%		500.4	544.7	590.0
Capital Expenditure	-175.2	-172.0	-178.0	-192.9	-166.8	-174.1	-184.5	-179.3	-199.8	-222.2	-277.4	-297.4	-317.4			-277.4	-297.4	-317.4
Purchase of intangible assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Change in investment securities	6.5	15.0	5.0	8.6	19.7	15.2	43.8	70.1	13.0	11.3	0.0	0.0	0.0			0.0	0.0	0.0
Net disposals (acquisitions)	-6.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Other investment cash flow	-19.9	-17.3	-11.6	6.2	-16.3	-6.5	-7.2	-14.6	-37.1	36.0	0.0	0.0	0.0			0.0	0.0	0.0
Cash flow from investing activities	-194.8	-174.3	-184.6	-178.0	-163.4	-165.4	-147.8	-123.8	-223.9	-174.9	-277.4	-297.4	-317.4	7.0%		-277.4	-297.4	-317.4
Change in short-term debt	33.2	-5.1	49.0	75.1	0.9	128.1	85.3	-241.3	-43.5	-71.3	72.7	0.0	0.0			72.7	0.0	0.0
Change in long-term debt	20.0	-13.6	-2.8	-20.1	32.3	13.5	-36.2	28.0	-7.7	-20.5	39.7	0.0	0.0			39.7	0.0	0.0
Net share issuance (repurchase)	-20.0	-0.0	-0.0	-0.0	-0.0	-0.0	-0.0	-0.0	-0.0	-0.0	0.0	0.0	0.0			0.0	0.0	0.0
Dividends paid	-37.4	-45.3	-38.2	-37.4	-25.0	-32.0	-39.0	-39.0	-68.6	-86.6	-140.4	-174.7	-199.7			-132.6	-164.6	-187.2
Other financial cash flow	-0.6	-2.8	-12.4	-18.8	-21.4	-26.8	-108.4	-40.0	-31.0	-147.7	0.0	0.0	0.0			0.0	0.0	0.0
Cash flow from financing activities	-4.8	-66.8	-4.3	-1.3	-13.1	82.8	-98.3	-292.3	-150.8	-326.0	-27.9	-174.7	-199.7	167.3%		-20.1	-164.6	-187.2
Net change in cash & cash equivalents	5.9	0.1	-11.2	80.1	2.4	4.1	23.9	-11.2	26.2	-58.6	174.0	117.2	113.8			202.9	82.8	85.4
FX effect	-3.5	1.3	-0.6	-5.4	7.8	10.6	4.8	11.3	-1.5	17.1	0.0	0.0	0.0			0.0	0.0	0.0
Other	-0.2	0.3	0.7	0.2	1.5	0.2	0.0	0.2	0.2	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Cash at end of period	180.0	180.1	168.9	249.0	251.4	255.5	279.4	268.3	294.5	235.9	409.9	527.1	640.9	25.0%		438.8	521.5	606.9

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 34: Financial Summary (3)

(Unit: JPYbn)		F2025				F2026				F2027				F2028			
P&L		1Q	2Q	3Q	4Q	1Q	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe
Revenue		1,148.4	1,225.0	1,313.5	1,423.2	1,330.6	1,292.3	1,341.5	1,420.3	1,399.2	1,354.3	1,400.9	1,475.9	1,502.1	1,447.7	1,489.3	1,561.5
Automotive		670.6	707.6	756.9	802.0	802.8	739.8	761.0	801.2	806.4	744.5	772.7	813.6	817.3	754.4	783.1	824.7
ns		61.7	73.8	85.2	106.0	86.5	115.5	140.6	157.6	168.8	182.3	196.8	208.3	215.3	225.3	234.3	242.3
Electronics		90.0	107.2	107.4	104.4	110.6	107.0	103.9	91.0	110.0	107.5	104.4	91.5	110.5	108.0	104.9	92.0
Environment and Energy		262.9	273.1	298.1	344.6	253.0	266.0	267.0	297.0	251.0	256.0	257.0	287.0	296.0	296.0	297.0	327.0
Industrial Materials and Others		92.9	95.4	98.4	101.7	115.7	99.0	104.0	108.5	98.0	99.0	105.0	110.5	98.0	99.0	105.0	110.5
Eliminations and Corporate		-29.6	-32.1	-32.7	-35.6	-38.1	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0
Revenue Growth (Y/Y, %)		2.9	8.2	10.1	14.9	15.9	5.5	2.1	-0.2	5.2	4.8	4.4	3.9	7.4	6.9	6.3	5.8
Automotive		1.2	10.1	7.2	10.9	19.7	4.5	0.5	-0.1	0.4	0.6	1.5	1.5	1.4	1.3	1.3	1.4
ns		16.4	45.7	51.6	67.0	40.3	56.6	65.0	48.6	95.1	57.8	40.0	32.2	27.6	23.6	19.1	16.3
Electronics		1.8	4.1	9.7	18.8	22.8	-0.2	-3.3	-12.9	-0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5
Environment and Energy		5.9	1.8	11.4	15.9	-3.7	-2.6	-10.4	-13.8	-0.8	-3.8	-3.7	-3.4	17.9	15.6	15.6	13.9
Industrial Materials and Others		3.6	-0.7	5.1	9.0	24.6	3.8	5.6	6.7	-15.3	0.0	1.0	1.8	0.0	0.0	0.0	0.0
Operating Profit		60.3	92.7	118.0	147.1	97.1	106.9	133.9	147.3	118.0	140.1	163.2	173.7	144.2	161.7	182.2	191.9
Automotive		26.6	38.8	53.0	61.3	26.0	38.3	54.5	64.3	28.3	41.3	56.8	66.8	32.3	42.3	57.8	67.8
ns		8.1	13.9	24.0	31.3	27.2	36.0	45.7	53.1	58.5	63.1	69.1	74.3	77.7	81.2	85.1	89.0
Electronics		6.3	11.7	11.4	10.1	11.7	11.5	12.0	2.4	7.5	11.5	13.0	4.2	8.5	11.5	13.0	4.2
Environment and Energy		13.6	20.8	21.6	34.5	15.3	8.0	11.5	17.7	15.5	15.5	15.6	17.4	17.5	18.0	17.6	19.9
Industrial Materials and Others		5.6	7.3	8.3	10.2	17.0	13.0	10.2	9.8	8.3	8.8	8.8	11.1	8.3	8.8	8.8	11.1
Eliminations and Corporate		0.0	0.1	-0.4	-0.3	-0.2	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating Profit Margin (%)		5.3	7.6	9.0	10.3	7.3	8.3	10.0	10.4	8.4	10.3	11.7	11.8	9.6	11.2	12.2	12.3
Automotive		4.0	5.5	7.0	7.6	3.2	5.2	7.2	8.0	3.5	5.5	7.3	8.2	3.9	5.6	7.4	8.2
ns		13.2	18.9	28.2	29.6	31.5	31.2	32.5	33.7	34.7	34.6	35.1	35.7	36.1	36.0	36.3	36.7
Electronics		7.0	10.9	10.6	9.7	10.6	10.7	11.5	2.6	6.8	10.7	12.4	4.5	7.6	10.6	12.3	4.5
Environment and Energy		5.2	7.6	7.3	10.0	6.0	3.0	4.3	6.0	6.2	6.1	6.1	6.1	5.9	6.1	5.9	6.1
Industrial Materials and Others		6.1	7.6	8.4	10.0	14.7	13.1	9.8	9.0	8.5	8.9	8.4	10.0	8.5	8.9	8.4	10.0
Equity Method Income		3.2	8.0	7.8	12.4	8.9	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0
Other non-operating income		-1.6	-7.1	-4.9	-4.7	-2.9	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5
Recurring Profit		61.8	93.7	120.9	154.8	103.0	108.4	135.4	148.8	119.5	141.6	164.7	175.2	145.7	163.2	183.7	193.4
One-off Profit / Loss, net		-0.6	3.2	1.0	70.3	-0.7	0.0	0.0	5.0	0.0	0.0	0.0	5.0	0.0	0.0	0.0	5.0
Pretax Profit		61.2	96.9	121.9	225.1	102.4	108.4	135.4	153.8	119.5	141.6	164.7	180.2	145.7	163.2	183.7	198.4
Tax		20.3	26.7	33.2	23.8	33.4	28.1	35.7	40.8	31.2	37.4	43.9	48.2	38.6	43.5	49.2	53.3
Non-controlling Interest		5.8	7.4	9.4	17.1	2.6	3.5	0.5	0.5	1.5	3.5	0.5	0.5	1.4	3.5	0.5	0.5
Net Income for Shareholders		35.1	62.8	79.3	192.3	66.4	76.8	99.2	112.5	86.8	100.7	120.3	131.5	105.7	116.2	134.0	144.6

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Risk Reward – Sumitomo Electric (5802.T)

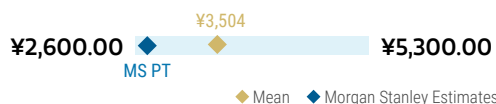
Earnings driven by CPO products

PRICE TARGET ¥2,700

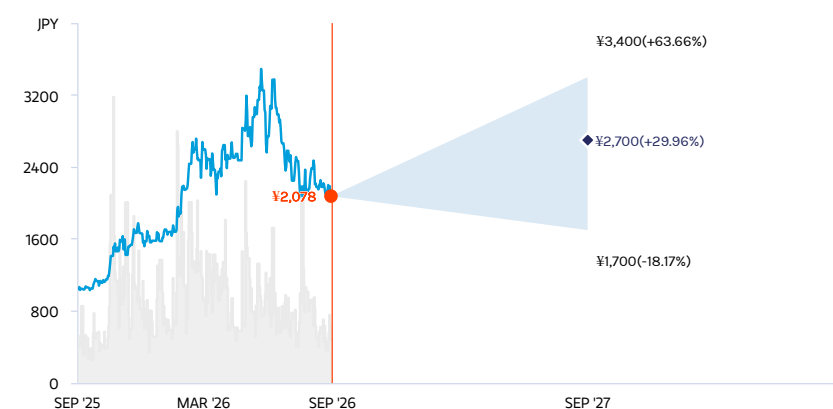
We use a residual income model, with assumptions including 9.6% capital cost (2.9% risk-free rate, 6.2% equity risk premium, 1.07 beta), 45% payout ratio, mid-term growth rate of ~11.5%, terminal growth rate of 3.0%. Our PT equates to P/E of 19.2x on F3/28e EPS of ¥141.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



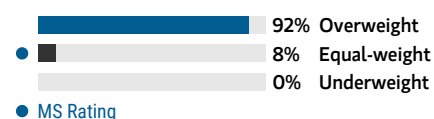
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We assign an EW rating from a relative perspective in the industry.
- The firm's biggest earnings drivers are multicore fiberoptic cable, optical connectors and optical devices.
- Wire harness business is firm but unlikely to see sizeable improvement in margins.
- The market wants to see management paying attention to capital efficiency.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Renewable Energy: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

¥3,400

Share price aligned to residual income model

Optical devices, optical connectors and multicore fiberoptic cables show further growth in the *ns* segment. Profit exceeds our base case by 20% from F3/27. Equates to P/E of 21.8x on estimated F3/28e EPS of ¥156.

BASE CASE

¥2,700

Share price aligned to residual income model

Our OP forecasts are ¥485bn for F3/27, ¥595bn for F3/28, ¥680bn for F3/29. Fair value here equates to P/E of 19.2x on F3/28e EPS of ¥141.

BEAR CASE

¥1,700

Share price aligned to residual income model

Earnings deteriorate in the *ns* and automotive segments as business sentiment worsens further, and profit is 30% below the base case from F3/27. Equates to P/E of 14.5x on estimated F3/28e EPS of ¥118.

Risk Reward – Sumitomo Electric (5802.T)

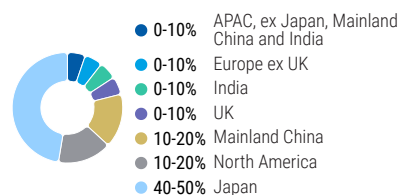
KEY EARNINGS INPUTS

Drivers	Mar 2026	Mar 2027e	Mar 2028e	Mar 2029e
Automotive OP (¥, mn)	179,700	183,000	193,000	200,000
ns OP (¥, mn)	77,435	162,000	265,000	333,000

INVESTMENT DRIVERS

- Increase in wiring harness volume per vehicle
- Expansion of fiberoptic cable and device sales
- Shift to a management approach mindful of capital efficiency

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increase in sales volume on healthier business sentiment than expected
- More improvement in product mix than expected
- Stronger reinforcement of shareholder return than anticipated

RISKS TO DOWNSIDE

- Decline in sales volume on weaker business sentiment than expected
- Delays in price passthrough due to sharp rises in raw material costs and other material costs
- Faster advance in yen appreciation than anticipated

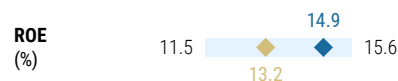
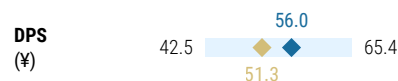
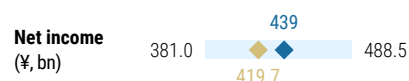
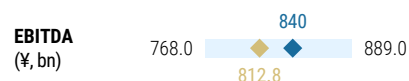
OWNERSHIP POSITIONING

Inst. Owners, % Active 62%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2028e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Earnings Summary: Fujikura (5803.T)

Exhibit 35: Financial Summary (1)

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR	Old	Old	Old
P/L	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-27e	F2026e	F2027e	F2028e
Revenue	653.8	740.1	710.8	672.3	643.7	670.4	806.5	799.8	979.4	1,182.4	1,783.2	1,905.8	2,047.5	7.2%	1,348.7	1,443.1	1,597.9
Power& n	349.7	371.8	354.9	327.8	305.9	353.6	434.4										
Power	196.0	212.9	204.0	187.9	165.6	179.2	206.8										
n Systems	153.6	158.9	150.9	140.0	140.3	174.5	227.6										
Electronics Products	156.7	196.0	185.1	175.1	199.9	178.5	197.3	297.7	451.3	653.0	1,221.2	1,336.8	1,474.8		822.4	912.3	1,063.7
Automotive Products	133.1	157.1	154.1	152.5	121.9	121.3	155.9	179.5	177.1	179.4	195.2	195.0	195.0		179.0	182.0	183.8
Energy							142.9	140.2	145.2	157.0	175.8	177.5	179.3		172.0	172.0	172.0
Real Estate	10.2	11.0	10.9	11.3	10.9	10.9	10.8	10.5	10.8	11.0	11.2	11.2	11.2		154.5	156.0	157.6
Other	4.1	4.3	5.8	5.6	5.2	6.0	8.1	6.9	9.1	9.7	7.0	9.6	9.6		11.2	11.2	11.2
Revenue Growth (Y/Y, %)	-3.6	13.2	-4.0	-5.4	-4.3	4.1	20.3	-0.8	22.5	20.7	50.8	6.9	7.4		14.1	7.0	10.7
Power& n	-4.6	6.3	-4.6	-7.6	-6.7	15.6	22.8										
Power	-7.9	8.6	-4.2	-7.9	-11.8	8.2	15.4										
n Systems	-0.1	3.4	-5.1	-7.2	0.2	24.4	30.4										
Electronics Products	-2.7	25.0	-5.6	-5.4	14.1	-10.7	10.5	2.2	51.6	44.7	87.0	9.5	10.3		25.9	10.9	16.6
Automotive Products	-2.0	18.0	-1.9	-1.1	-20.0	-0.5	28.5	-16.4	12.7	-7.3	0.3	1.7	1.1		3.9	1.7	1.0
Energy								-1.9	3.6	8.1	8.8	-0.1	0.0		-4.1	0.0	0.0
Real Estate	-4.9	7.7	-0.7	3.7	-3.6	-0.0	-1.0	8.7	11.9	18.9	12.0	1.0	1.0		-1.6	1.0	1.0
Other	-3.3	3.7	36.8	-4.4	-7.5	16.7	35.3	-2.3	2.9	1.9	1.5	0.0	0.0		1.5	0.0	0.0
Operating Profit	34.2	34.3	27.7	3.3	24.4	38.3	70.2	69.5	135.5	188.7	450.0	500.0	575.0	13.0%	260.0	310.0	370.0
Power& n	20.4	22.4	17.8	4.6	18.1	25.2	43.1										
n Systems							39.9	39.2	92.2	152.7	419.5	466.5	541.5	13.6%	230.8	277.0	336.8
Electronics Products	7.6	10.4	8.3	-2.3	4.9	13.8	27.6	16.6	22.9	7.7	10.5	13.0	13.0	11.3%	11.0	12.0	12.2
Automotive Products	2.6	-3.2	-3.2	-3.8	-3.7	-5.6	-6.6	1.2	5.8	6.8	4.5	4.5	4.5	0.0%	6.0	6.0	6.0
Energy							4.3	8.7	11.9	18.9	15.0	15.0	15.0	0.0%	11.8	14.0	14.0
Real Estate	4.7	5.5	5.0	5.4	5.2	5.1	5.0	4.9	4.9	5.0	5.0	5.0	5.0	0.0%	5.0	5.0	5.0
Other	-0.9	-0.9	-0.2	-0.5	-0.0	-0.2	-1.0	-1.1	-2.2	-2.4	-4.5	-4.0	-4.0	-6.0%	-4.6	-4.0	-4.0
Operating Profit Margin (%)	5.2	4.6	3.9	0.5	3.8	5.7	8.7	8.7	13.8	16.0	25.2	26.2	28.1		19.3	21.5	23.2
Power& n	5.8	6.0	5.0	1.4	5.9	7.1	9.9										
n Systems							13.7	13.2	20.4	23.4	34.4	34.9	36.7		28.1	30.4	31.7
Electronics Products	4.8	5.3	4.5	-1.3	2.4	7.7	14.0	10.1	12.3	4.4	6.1	7.4	7.3		6.1	6.6	6.6
Automotive Products	1.9	-2.0	-2.1	-2.5	-3.0	-4.6	-4.2	0.7	3.3	3.8	2.3	2.3	2.3		3.5	3.5	3.5
Energy							3.0	6.2	8.2	12.1	8.5	8.4	8.4		7.6	9.0	8.9
Real Estate	45.8	50.2	46.1	47.7	47.7	47.2	46.3	46.2	44.9	44.9	44.6	44.6	44.6		44.6	44.6	44.6
Other	-22.4	-20.3	-3.9	-9.2	-0.9	-3.7	-12.3	-15.5	-23.7	-24.7	-64.9	-41.7	-41.7		-47.9	-41.7	-41.7
Equity Method Income	1.0	1.5	1.2	1.1	0.4	2.1	2.1	2.7	5.7	12.0	8.3	4.0	4.0		4.0	4.0	4.0
Other non-operating income	-2.7	-1.7	-7.9	-3.1	-6.5	-6.3	-5.1	-2.4	-4.0	-1.2	-2.2	-5.0	-5.0		-5.0	-5.0	-5.0
Recurring Profit	32.6	34.1	21.0	1.3	18.4	34.1	67.1	69.7	137.2	199.5	456.1	499.0	574.0	12.2%	259.0	309.0	369.0
One-off Profit / Loss, net	-4.2	-5.4	-10.5	-21.1	-17.2	17.6	-17.2	-5.5	-15.8	5.1	-5.1	-8.0	-8.0		-8.0	-8.0	-8.0
Pretax Profit	28.3	28.7	10.5	-19.8	1.2	51.7	50.0	64.2	121.4	204.6	451.0	491.0	566.0	12.0%	251.0	301.0	361.0
Tax	11.3	7.5	7.6	17.3	5.3	11.5	8.0	11.1	26.9	42.6	110.7	117.8	135.8		60.2	72.2	86.7
Non-controlling Interest	4.1	2.8	1.5	1.4	1.2	1.0	1.7	2.1	3.3	4.9	4.2	3.2	3.2		3.2	3.2	3.2
Net Income for Shareholders	12.9	18.4	1.5	-38.5	-5.4	39.1	40.3	51.0	91.1	157.2	336.2	370.0	427.0	12.7%	187.6	225.6	271.1
Capital Expenditure	45.6	42.6	55.8	30.1	17.7	16.2	15.7	20.8	30.7	40.3	176.6	176.6	176.6		176.6	176.6	176.6
Depreciation	27.6	26.9	31.6	35.7	33.6	30.5	29.1	22.9	21.4	24.1	22.3	24.3	26.3		22.3	24.3	26.3
Research & Development	15.6	16.3	17.5	17.3	16.5	16.4	15.0	17.1	18.4	19.0	20.0	21.0	22.0		20.0	21.0	22.0
Per Share Data																	
EPS	44.6	64.4	0.8	-22.8	-3.2	23.6	24.4	30.8	55.0	94.9	203.0	223.4	257.8	12.7%	113.3	136.3	163.7
BPS	118.9	128.1	126.6	89.3	98.5	133.3	163.1	206.1	246.2	338.5	461.3	584.7	722.6	25.2%	401.8	478.1	571.8
DPS	10.0	14.0	2.0	0.8	0.0	1.7	5.0	9.2	16.7	35.8	80.0	100.0	120.0	22.5%	50.0	60.0	70.0
ROE (%)	6.4	8.7	0.7	-20.9	-3.4	20.4	16.4	16.7	24.3	32.5	50.7	42.7	42.7		30.6	31.0	31.0
Dividend Payout Ratio (%)	22.4	21.8	235.6	-3.7	0.0	7.1	20.5	29.7	30.3	37.7	39.4	44.8	46.5		44.1	44.0	42.7
Net D/E		0.9	1.0	1.4	1.0	0.5	0.3	0.1	-0.1	-0.2	-0.0	-0.1	-0.1		-0.0	-0.0	0.0
Shares outstanding	1,735.2	1,711.5	1,711.7	1,691.7	1,652.2	1,653.9	1,654.7	1,654.8	1,655.2	1,655.5	1,655.8	1,655.8	1,655.8		1,655.5	1,655.5	1,655.5

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 36: Financial Summary (2)

(Unit: JPYbn)	J-GAAP F2016	J-GAAP F2017	J-GAAP F2018	J-GAAP F2019	J-GAAP F2020	J-GAAP F2021	J-GAAP F2022	J-GAAP F2023	J-GAAP F2024	J-GAAP F2025	J-GAAP F2026e	J-GAAP F2027e	J-GAAP F2028e	CAGR 26e-27e	J-GAAP F2026e	J-GAAP F2027e	J-GAAP F2028e
B/S																	
Cash & Equivalents	30.7	33.6	36.2	44.0	74.2	90.4	106.6	147.0	184.2	178.9	166.8	217.4	256.1		169.2	141.0	102.3
Marketable Securities	1.1	0.7	0.6	0.7	0.6	0.6	0.7	0.8	0.7	2.3	2.3	2.3	2.3		2.3	2.3	2.3
Acct Receivable	149.0	151.2	141.6	128.9	123.3	144.9	155.4	164.2	203.5	252.6	329.5	313.0	336.3		249.2	237.0	262.5
Inventories	92.5	113.9	117.9	103.7	100.5	112.6	131.0	131.5	147.2	183.8	253.7	273.0	287.0		206.7	216.0	235.8
Other Current Assets	23.3	28.8	27.0	22.5	18.8	20.6	25.4	23.8	25.6	39.9	39.9	39.9	39.9		39.9	39.9	39.9
Total Current Assets	296.5	328.2	323.3	299.8	317.4	369.1	419.0	467.3	561.3	657.6	792.3	845.7	921.6		667.3	636.3	642.9
PP&E, net	195.3	211.3	231.8	210.6	184.0	174.1	163.2	165.7	171.4	196.9	351.2	503.5	653.8		351.2	503.5	653.8
Goodwill and Goodwill-like Intangibles	7.1	4.2	2.7	7.1	6.3	6.9	6.3	10.1	8.5	7.5	7.5	7.5	7.5		7.5	7.5	7.5
Amortizable Intangibles	10.0	9.9	9.1	8.7	8.1	8.5	8.8	10.3	9.7	10.6	10.6	10.6	10.6		10.6	10.6	10.6
Investments in securities	41.3	38.4	32.5	28.2	27.7	29.1	30.4	35.2	34.3	48.3	56.6	60.6	64.6		52.3	56.3	60.3
Deferred tax assets	12.5	12.5	15.7	6.0	7.3	7.4	11.9	16.7	22.5	29.5	29.5	29.5	29.5		29.5	29.5	29.5
Other assets, noncurrent	26.0	33.5	23.3	15.8	18.5	16.4	17.0	18.5	22.5	19.2	19.2	19.2	19.2		19.2	19.2	19.2
Total Non Current Assets	292.1	309.8	315.1	276.3	251.8	242.4	237.6	256.6	269.0	311.9	474.5	630.8	785.1	28.6%	470.2	626.5	780.8
Total Assets	588.6	638.1	638.3	576.1	569.1	611.5	656.5	723.9	830.3	969.5	1,266.8	1,476.5	1,706.7	16.1%	1,137.5	1,262.8	1,423.6
Accounts Payable	77.2	77.2	65.0	65.8	68.5	71.8	74.7	82.4	104.9	126.8	159.0	171.1	179.9		129.6	135.4	147.8
Short-term debt	84.6	96.8	137.5	138.7	102.8	71.0	51.4	59.6	76.9	34.7	29.6	19.6	9.6		29.6	19.6	9.6
Other liabilities, current	41.4	59.3	56.6	48.5	45.0	55.6	56.3	58.3	99.4	116.4	116.4	116.4	116.4		116.4	116.4	116.4
Total Current liabilities	203.2	233.2	259.2	253.0	216.3	198.4	182.3	200.3	281.1	277.9	305.0	307.1	305.9	0.1%	275.6	271.4	273.8
Long-term debt	141.3	140.6	116.0	122.0	139.1	140.5	141.5	132.6	70.3	50.3	112.6	112.6	112.6		112.6	112.6	112.6
Retirement pension obligations	8.2	8.5	9.1	11.2	11.0	10.5	11.9	10.7	10.6	9.9	9.9	9.9	9.9		9.9	9.9	9.9
Deferred tax liabilities	0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Other liabilities, noncurrent	11.2	13.7	12.9	17.8	18.2	18.4	26.9	13.7	33.0	38.2	38.2	38.2	38.2		38.2	38.2	38.2
Total Non Current Liabilities	160.9	162.9	138.2	151.0	168.3	169.5	180.4	157.0	113.9	98.3	160.7	160.7	160.7	0.0%	160.7	160.7	160.7
Common stock	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1		53.1	53.1	53.1
Additional paid-in capital	30.0	30.0	29.6	27.9	27.7	28.1	26.5	26.1	24.3	24.5	24.5	24.5	24.5		24.5	24.5	24.5
Retained earnings	118.9	133.8	131.3	89.9	87.5	126.5	161.1	201.8	272.8	385.3	589.0	793.4	1,021.6		490.1	616.4	771.6
Treasury stocks	-5.9	-6.4	-6.3	-10.9	-10.9	-10.6	-10.5	-10.5	-10.4	-10.4	-10.4	-10.4	-10.4		-10.4	-10.4	-10.4
Shareholders' Equity	196.0	210.5	207.6	159.9	157.5	197.1	230.3	270.5	339.8	452.5	656.2	860.6	1,088.8	28.8%	557.3	683.6	838.8
Noncontrolling interests	21.8	22.7	24.2	20.0	21.7	23.2	23.8	25.5	27.8	32.8	37.0	40.2	43.4		36.0	39.2	42.4
Accumulated OCI	6.7	8.9	9.1	-7.9	5.4	23.4	39.7	70.6	67.7	107.9	107.9	107.9	107.9		107.9	107.9	107.9
Liabs+Shrholders Eq	588.6	638.1	638.3	576.1	569.1	611.5	656.5	723.9	830.3	969.5	1,266.8	1,476.5	1,706.7	16.1%	1,137.5	1,262.8	1,423.6
(Unit: JPYbn)																	
C/F																	
Net Income	12.9	18.4	1.5	-38.5	-5.4	39.1	40.3	51.0	91.1	157.2	336.2	370.0	427.0		187.6	225.6	271.1
Depreciation	27.6	26.9	31.6	35.7	33.6	30.5	29.1	22.9	21.4	24.1	22.3	24.3	26.3		22.3	24.3	26.3
Goodwill amortization	3.5	2.6	1.9	2.1	1.6	0.8	1.1	1.3	1.5	4.7	0.0	0.0	0.0		0.0	0.0	0.0
Change in accounts receivable	-7.5	-3.8	9.7	2.6	9.7	-14.4	-2.2	3.6	0.0	0.0	-76.9	16.5	-23.3		3.4	12.2	-25.4
Change in inventories	-11.4	-22.1	-4.7	9.9	6.6	-8.1	-13.3	9.4	0.0	0.0	-69.9	-19.3	-14.0		-22.9	-9.3	-19.8
Change in accounts payable	6.4	2.1	-12.1	5.0	-0.4	-2.6	-3.4	-1.9	0.0	0.0	32.3	12.1	8.7		2.8	5.8	12.4
Other operating cash flow	12.1	3.8	14.2	29.6	16.9	-5.0	6.4	8.2	1.9	-53.0	-4.1	-0.8	-0.8		-0.8	-0.8	-0.8
Cash flow from operating activities	43.6	27.8	42.0	46.4	62.6	40.4	58.1	94.4	115.9	132.9	239.8	402.8	424.0	33.0%	192.4	257.8	263.8
Capital Expenditure	-46.5	-41.0	-56.1	-32.6	-18.6	-15.8	-15.4	-20.8	-29.1	-39.1	-176.6	-176.6	-176.6		-176.6	-176.6	-176.6
Purchase of intangible assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Change in investment securities	0.6	5.0	6.6	5.9	5.9	0.4	1.0	1.8	1.8	2.5	0.0	0.0	0.0		0.0	0.0	0.0
Net disposals (acquisitions)	-1.5	0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Other investment cash flow	-13.2	0.9	1.3	-12.8	5.6	23.2	4.7	-2.4	6.4	0.3	0.0	0.0	0.0		0.0	0.0	0.0
Cash flow from investing activities	-60.6	-34.4	-48.2	-39.4	-7.1	7.8	-9.7	-21.5	-20.9	-36.2	-176.6	-176.6	-176.6	0.0%	-176.6	-176.6	-176.6
Change in short-term debt	-4.7	13.9	19.4	-0.4	-8.6	-24.7	-17.1	-6.3	-17.8	-1.9	-5.2	-10.0	-10.0		-5.2	-10.0	-10.0
Change in long-term debt	32.2	-0.2	-6.7	14.6	-17.4	-9.7	-4.4	-2.5	-12.8	-61.0	62.4	0.0	0.0		62.4	0.0	0.0
Net share issuance (repurchase)	-7.9	-0.0	0.0	-4.6	-0.0	-0.0	0.0	-0.4	-1.7	0.2	0.0	0.0	0.0		0.0	0.0	0.0
Dividends paid	-3.2	-3.6	-4.0	-2.9	0.0	0.0	-6.4	-10.9	-18.2	-44.6	-132.5	-165.6	-198.7		-82.8	-99.3	-115.9
Other financial cash flow	-0.0	-0.5	-0.4	-4.9	-0.5	-2.5	-6.0	-15.9	-6.8	-4.0	0.0	0.0	0.0		0.0	0.0	0.0
Cash flow from financing activities	16.4	9.6	8.4	1.7	-26.5	-36.9	-33.9	-36.0	-57.4	-111.3	-75.3	-175.6	-208.7	66.5%	-25.6	-109.3	-125.9
Net change in cash & cash equivalents	-1.4	2.9	2.7	7.7	30.2	16.3	16.1	40.4	37.2	-5.3	-12.1	50.6	38.7		-9.7	-28.1	-38.7
FX effect	-0.8	-0.2	0.5	-1.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Other	0.0	0.0	0.0	0.0	1.3	5.0	1.6	3.5	-0.4	9.3	0.0	0.0	0.0		0.0	0.0	0.0
Cash at end of period	30.7	33.6	36.2	44.0	74.2	90.4	106.6	147.0	184.2	178.9	166.8	217.4	256.1	23.9%	169.2	141.0	102.3

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 37: Financial Summary (3)

(Unit: JPYbn)		F2025				F2026				F2027				F2028			
P&L		1Q	2Q	3Q	4Qe	1Q	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe
Revenue		267.9	291.1	295.9	327.4	402.0	421.3	468.0	492.1	470.1	475.8	484.6	475.3	479.4	483.0	517.1	568.0
Power&Power	n																
n Systems		143.9	159.7	160.6	188.9	264.5	277.7	321.4	357.7	329.0	330.9	337.0	339.9	337.4	337.1	368.7	431.7
Electronics Products		39.5	46.7	45.5	40.6	35.4	45.2	49.3	43.1	36.0	46.0	49.9	43.8	36.6	46.6	50.2	44.2
Automotive Products		44.1	42.1	43.3	49.9	55.2	48.0	46.0	46.0	55.0	48.0	46.0	46.0	55.0	48.0	46.0	46.0
Energy		35.6	37.7	41.9	41.8	44.4	45.2	46.1	40.1	44.8	45.7	46.6	40.5	45.3	46.1	47.0	40.9
Real Estate		2.8	2.8	2.7	2.7	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8
Other		2.1	2.2	2.0	3.5	-0.2	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.4
Revenue Growth (Y/Y, %)		22.7	27.0	12.3	22.0	50.1	44.7	58.1	50.3	16.9	12.9	3.6	-3.4	2.0	1.5	6.7	19.5
Power&Power	n																
n Systems		58.1	68.0	31.1	32.2	83.8	73.9	100.2	89.3	24.4	19.2	4.8	-5.0	2.5	1.9	9.4	27.0
Electronics Products		5.1	-8.5	-16.6	-5.0	-10.5	-3.2	8.4	6.2	1.7	1.8	1.2	1.6	1.7	1.3	0.6	0.9
Automotive Products		-8.7	-3.5	0.9	18.2	25.1	14.1	6.3	-7.8	-0.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Energy		-4.5	7.8	7.5	22.9	24.8	20.0	10.0	-4.2	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Real Estate		3.5	2.0	1.4	0.8	0.6	1.0	2.2	2.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other		37.3	16.4	2.8	-9.5	-110.9	9.2	22.6	-31.0	-1,171.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating Profit		41.1	49.1	52.0	46.5	104.8	102.5	116.4	126.8	119.4	123.6	128.4	128.6	130.5	131.4	144.6	168.5
Power&Power	n																
n Systems		3.3	4.2	7.3	4.1	5.3	3.6	3.7	2.4	4.5	4.2	3.2	3.1	4.5	4.2	3.2	3.1
Electronics Products		34.0	39.9	40.4	38.5	98.0	94.6	106.3	120.6	111.5	114.8	118.8	121.4	122.6	122.6	135.0	161.3
Automotive Products		1.7	3.3	1.9	0.8	0.4	4.2	5.0	0.9	2.1	4.3	5.2	1.4	2.1	4.3	5.2	1.4
Energy		1.4	0.9	1.6	3.0	1.2	0.0	1.0	2.3	1.1	0.1	1.0	2.3	1.1	0.1	1.0	2.3
Real Estate		1.4	1.1	1.2	1.2	1.3	1.3	1.2	1.3	1.2	1.3	1.2	1.3	1.2	1.3	1.2	1.3
Other		-0.6	-0.3	-0.4	-1.1	-1.3	-1.3	-1.0	-0.9	-1.0	-1.1	-1.0	-0.9	-1.0	-1.1	-1.0	-0.9
Operating Profit Margin (%)		15.3	16.9	17.6	14.2	26.1	24.3	24.9	25.8	25.4	26.0	26.5	27.1	27.2	27.2	28.0	29.7
Power&Power	n																
n Systems		9.3	11.1	17.5	9.9	11.9	8.0	8.0	6.1	10.0	9.2	6.9	7.7	9.9	9.1	6.8	7.6
Electronics Products		23.6	25.0	25.2	20.4	37.0	34.1	33.1	33.7	33.9	34.7	35.3	35.7	36.3	36.4	36.6	37.4
Automotive Products		4.2	7.0	4.2	2.0	1.3	9.2	10.1	2.1	5.8	9.3	10.4	3.2	5.7	9.2	10.4	3.2
Energy		3.1	2.1	3.6	6.0	2.1	0.1	2.2	5.0	2.0	0.2	2.2	5.0	2.0	0.2	2.2	5.0
Real Estate		48.6	41.2	45.5	44.4	47.0	44.6	41.1	45.9	42.9	46.4	42.9	46.4	42.9	46.4	42.9	46.4
Other		-28.8	-12.2	-22.1	-31.7	593.8	-54.2	-41.7	-37.5	-41.7	-45.8	-41.7	-37.5	-41.7	-45.8	-41.7	-37.5
Equity Method Income		2.0	2.2	1.0	2.9	5.3	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Other non-operating income		-1.3	-1.4	5.3	-0.0	1.3	-1.5	-1.5	-1.0	-1.0	-1.5	-1.5	-1.0	-1.0	-1.5	-1.5	-1.0
Recurring Profit		41.8	49.9	58.4	49.4	111.5	102.0	115.9	126.8	119.4	123.1	127.9	128.6	130.5	130.9	144.1	168.5
One-off Profit / Loss, net		1.9	-1.3	2.8	1.8	-0.1	-1.0	-1.0	-3.0	-3.0	-1.0	-1.0	-3.0	-3.0	-1.0	-1.0	-3.0
Pretax Profit		43.7	48.6	61.2	51.2	111.4	101.0	114.9	123.8	116.4	122.1	126.9	125.6	127.5	129.9	143.1	165.5
Tax		11.1	11.5	14.9	5.1	29.2	24.2	27.6	29.7	27.9	29.3	30.5	30.1	30.6	31.2	34.3	39.7
Non-controlling Interest		1.3	0.9	1.9	0.9	1.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8
Net Income for Shareholders		31.3	35.8	44.8	45.2	80.4	76.0	86.5	93.3	87.7	92.0	95.6	94.7	96.1	97.9	108.0	125.0

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Risk Reward – Fujikura (5803.T)

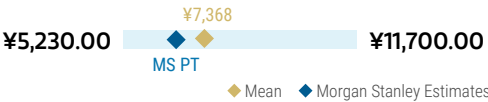
Strengths in multicore fiberoptic cables and optical connectors

PRICE TARGET ¥6,600

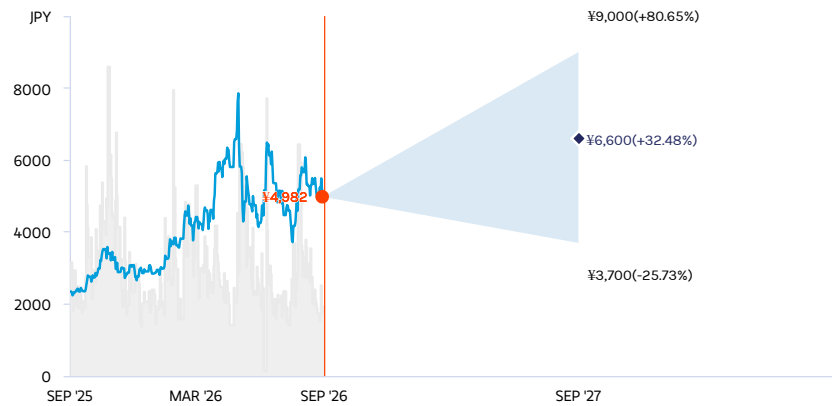
We use a residual income model, with assumptions of 10.9% capital cost (2.9% risk-free rate, 6.2% equity risk premium, 1.29 beta), 55% payout ratio, a mid-term growth rate of ~17.5%, terminal growth rate of 3.7%. Our PT equates to P/E of 29.5x on F3/28e EPS of ¥223.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



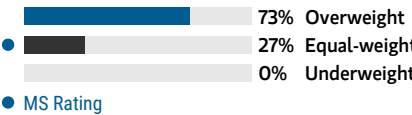
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We assign an EW rating from a relative perspective in the industry.
- We expect increased sales of fiberoptic cables to drive growth.
- The firm has announced spending to add capacity but production capacity could still impose constraints.
- It holds top global share in MPO connectors.
- It also holds top global share in fiberoptic fusion splicers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- Secular Growth: Positive
- Self-help: Positive
- New Data Era: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

¥9,000

Share price aligned to residual income model

Profit in fiberoptic cable business grows beyond our expectation, and profit tops the base case by 20% from F3/27. Our bull-case fair value equates to P/E of 37.0x on estimated F3/28e EPS of ¥244.

BASE CASE

¥6,600

Derived from a residual income model

Expect big contributions to earnings growth from n Systems stemming from both company-specific factors and a positive turn in market conditions. We forecast OP of ¥450bn in F3/27, ¥500bn in F3/28, and ¥575bn in F3/29. Fair value here equates to P/E of 29.5x on F3/28e EPS of ¥223.

BEAR CASE

¥3,700

Share price aligned to residual income model

Data center investment slows sharply and profits in the fiberoptic cable business decline YoY. Profit is 30% below the base case from F3/27. Our bear-case fair value equates to P/E of 19.1x on estimated F3/28e EPS of ¥193.

Risk Reward – Fujikura (5803.T)

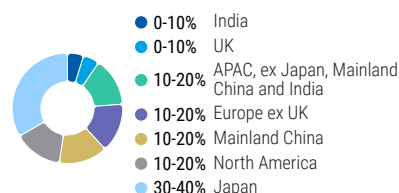
KEY EARNINGS INPUTS

Drivers	Mar 2026	Mar 2027e	Mar 2028e	Mar 2029e
n Systems OP (¥, mn)	152,729	419,500	466,500	541,500
Electronics Products OP (¥, mn)	7,666	10,500	13,000	13,000
Automotive Products OP (¥, mn)	6,809	4,500	4,500	4,500

INVESTMENT DRIVERS

- Shift to higher added value and higher sales volume (new customer acquisition, increase in existing customer sales, etc.) in fiberoptic cable business
- Capital cost-conscious management

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increase in sales volume on healthier business sentiment than expected
- Faster expansion of fiberoptic cable sales than expected
- Greater yen depreciation than anticipated

RISKS TO DOWNSIDE

- Decline in sales volume on weaker business sentiment than expected
- Delays in price passthrough due to sharp rises in raw material costs and other material costs
- Faster yen appreciation than anticipated

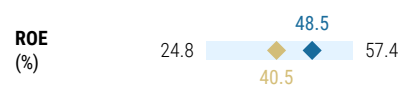
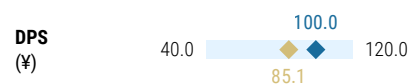
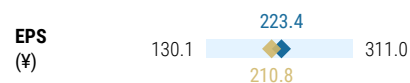
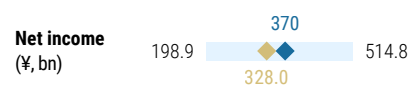
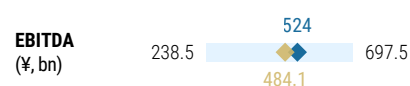
OWNERSHIP POSITIONING

Inst. Owners, % Active 74.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

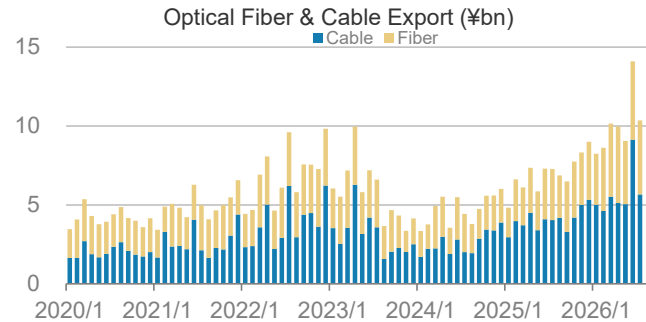
FY Mar 2028e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

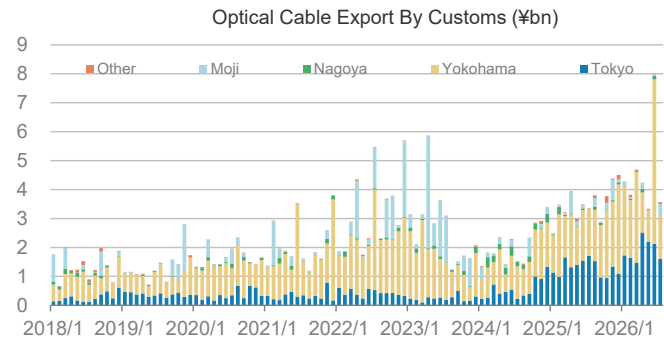
Optical Fiber & Optical Fiber Connector Trade Stats

Exhibit 38: Optical fiber & cable export value



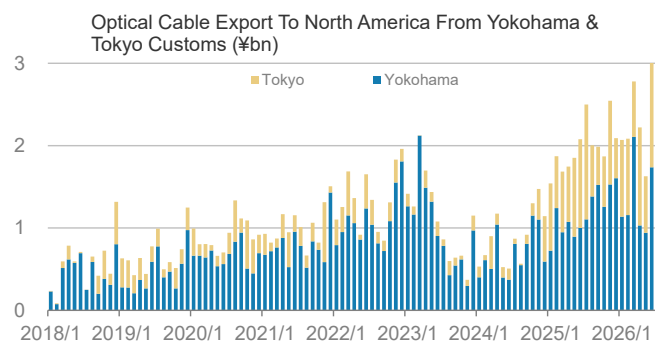
Source: MoF, Morgan Stanley Research

Exhibit 39: Optical cable exports by customs site



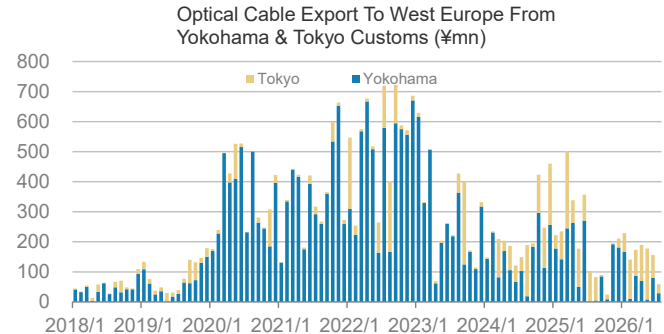
Source: MoF, Morgan Stanley Research

Exhibit 40: Optical cable exports to N. America (from Yokohama/Tokyo Customs)



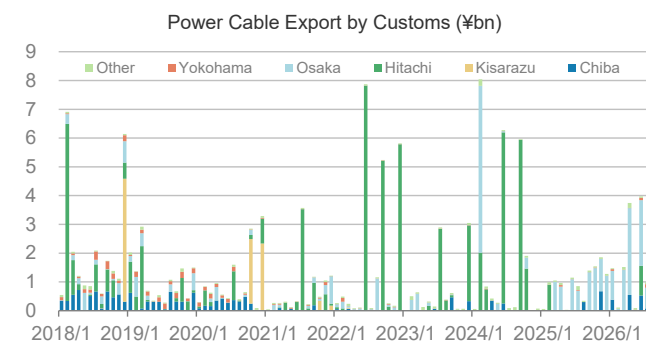
Source: MoF, Morgan Stanley Research

Exhibit 41: Optical cable exports to Western Europe (from Yokohama/Tokyo Customs)



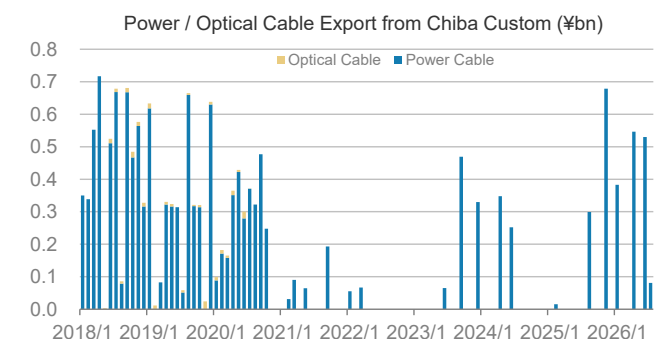
Source: MoF, Morgan Stanley Research

Exhibit 42: Power cable (over 1kV) exports by customs site



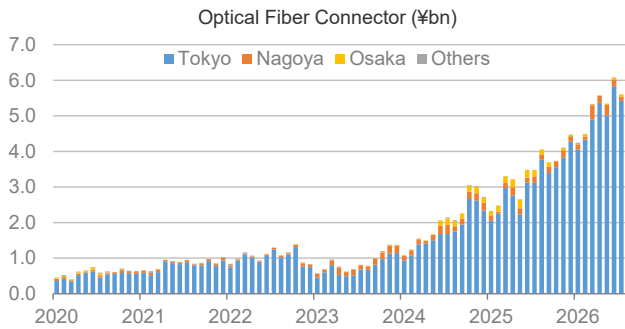
Source: MoF, Morgan Stanley Research

Exhibit 43: Power cable & optical cable exports from Chiba Customs



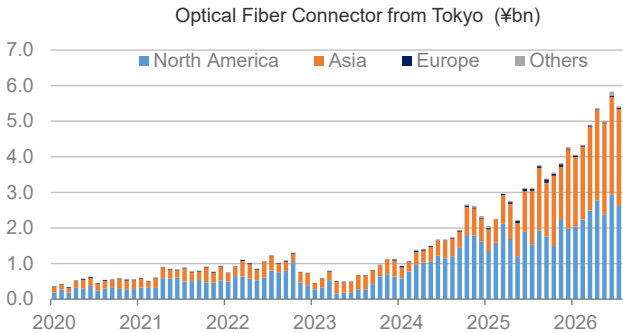
Source: MoF, Morgan Stanley Research

Exhibit 44: Optical Fiber Connector export value



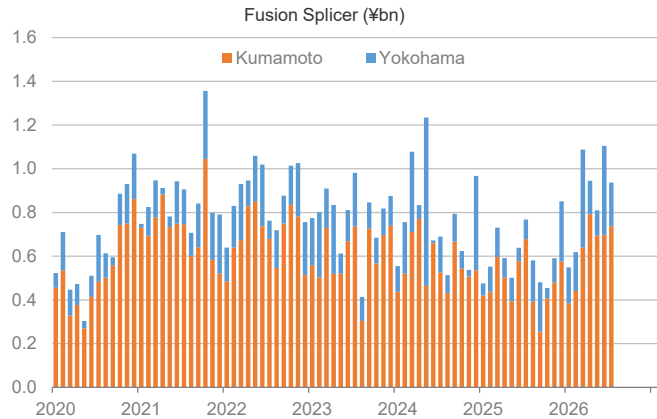
Source: MoF, Morgan Stanley Research

Exhibit 45: Optical Fiber Connector by Location from Tokyo Customs



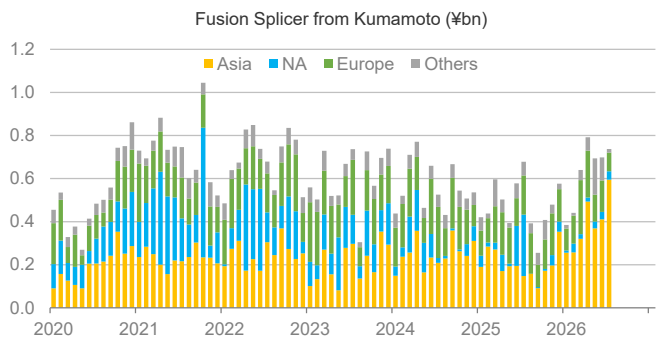
Source: MoF, Morgan Stanley Research

Exhibit 46: Optical Fusion Splicer export value (from Kumamoto and Yokohama)



Source: MoF, Morgan Stanley Research

Exhibit 47: Optical Fusion Splicer export value by Location from Kumamoto Customs



Source: MoF, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of August 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the

last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

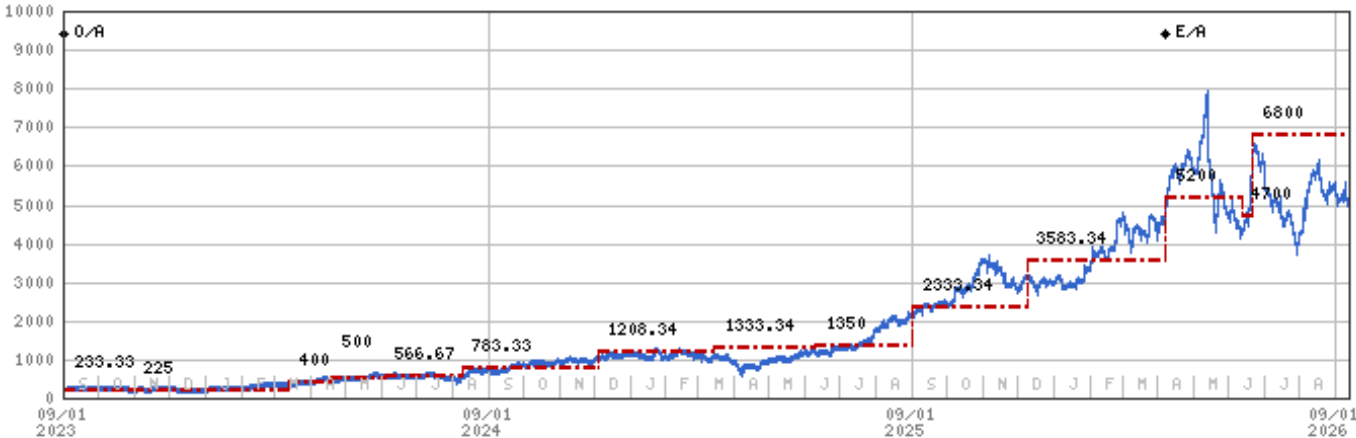
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

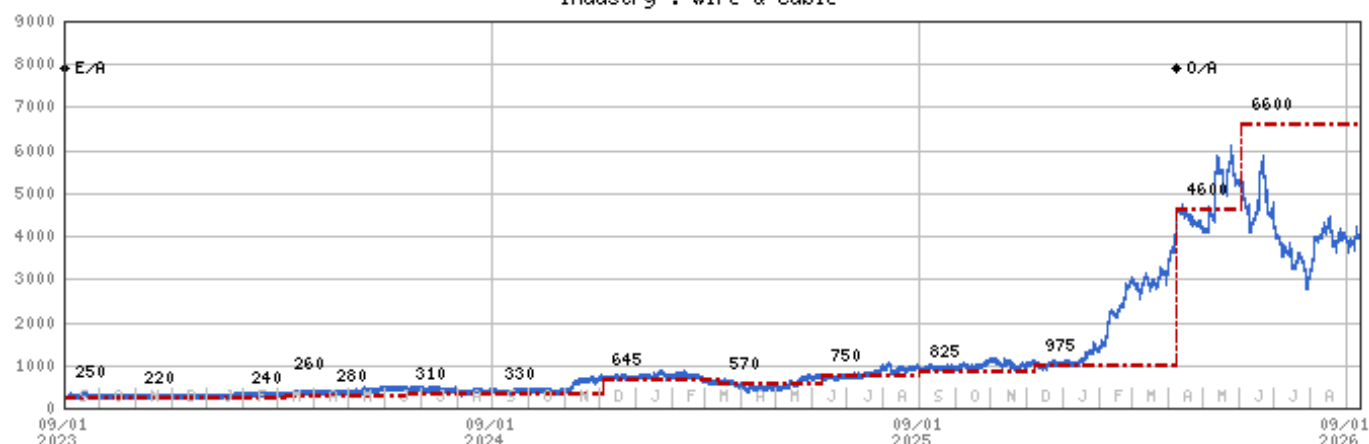
Stock Price, Price Target and Rating History (See Rating Definitions)

Fujikura (5803.T) - As of 09/12/26 GMT in JPY
Industry : Wire & Cable



Stock Rating History: 9/1/21 : O/A; 4/8/26 : E/A
Price Target History: 7/7/21 : 105; 9/13/21 : 166.67; 11/9/22 : 233.33; 10/31/23 : 225; 3/13/24 : 400; 4/19/24 : 500; 6/4/24 : 566.67; 8/9/24 : 783.33; 12/4/24 : 1208.34; 3/14/25 : 1333.34; 6/9/25 : 1350; 9/1/25 : 2333.34; 12/9/25 : 3583.34; 4/8/26 : 5200; 6/12/26 : 4700; 6/22/26 : 6800
Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)
Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.
Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Furukawa Electric (5801.T) - As of 09/12/26 GMT in JPY
Industry : Wire & Cable



Stock Rating History: 9/1/21 : E/A; 4/8/26 : O/A

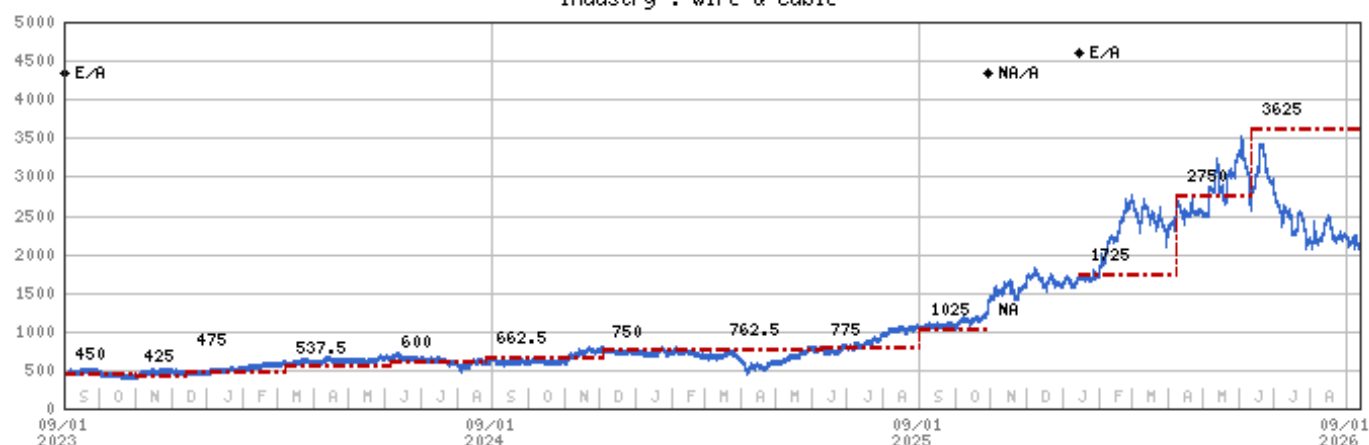
Price Target History: 7/7/21 : 290; 9/8/21 : 250; 12/6/21 : 230; 11/8/22 : 250; 2/1/23 : 260; 4/28/23 : 250; 10/31/23 : 220; 1/30/24 : 240; 3/7/24 : 260; 4/12/24 : 280; 6/19/24 : 310; 9/3/24 : 330; 12/4/24 : 645; 3/14/25 : 570; 6/9/25 : 750; 9/1/25 : 825; 12/9/25 : 975; 4/8/26 : 4600; 6/3/26 : 6600

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Sumitomo Electric (5802.T) - As of 09/12/26 GMT in JPY
Industry : Wire & Cable



Stock Rating History: 9/1/21 : O/A; 10/26/21 : E/A; 2/2/23 : NA/A; 5/9/23 : E/A; 10/30/25 : NA/A; 1/16/26 : E/A

Price Target History: 8/28/21 : 450; 10/26/21 : 375; 2/1/23 : 400; 2/2/23 : NA; 5/9/23 : 450; 10/31/23 : 425; 12/14/23 : 475; 3/8/24 : 537.5; 6/6/24 : 600; 8/26/24 : 662.5; 12/4/24 : 750; 3/14/25 : 762.5; 6/9/25 : 775; 9/1/25 : 1025; 10/30/25 : NA; 1/16/26 : 1725; 4/8/26 : 2750; 6/12/26 : 3625

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Wire & Cable

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/11/2026)
Yu Shirakawa		
Fujikura (5803.T)	E (04/08/2026)	¥4,982
Furukawa Electric (5801.T)	O (04/08/2026)	¥3,981

Sumitomo Electric (5802.T)	E (01/16/2026)	¥2,078
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